

FX Markets Weekly

Dollar on Diesel: cheap and still running

Outlook: Dollar valuations are still cheap and US exceptionalism seems more alive than dead; stay bullish USD. We unpack FX implications of a potential US diesel ban. Immediate impact will be on direct importers; DM vulnerabilities are more contained than EM. GBP, EUR most exposed in DM, but Latam most exposed globally. In the event of a perma-diesel ban, the spillover impact should broaden to countries with high diesel “intensity” and import dependencies (Antipodeans in DM, ZAR, PHP in EM). Mitigating factors and details of implementation will matter. Dependencies notwithstanding, our outlook on most exposed currencies is unchanged.

Macro Trade Recommendations: Hold long USD basket vs CAD & SEK into US payrolls. Scale up DM carry exposure by re-entering long NOK/SEK; stay short-CHF (vs AUD, NOK, USD, HUF) and long GBP (vs CHF, SEK). Stay short SEK/JPY. Hit take-profit stop on short CAD/MXN intraweek (+3%).

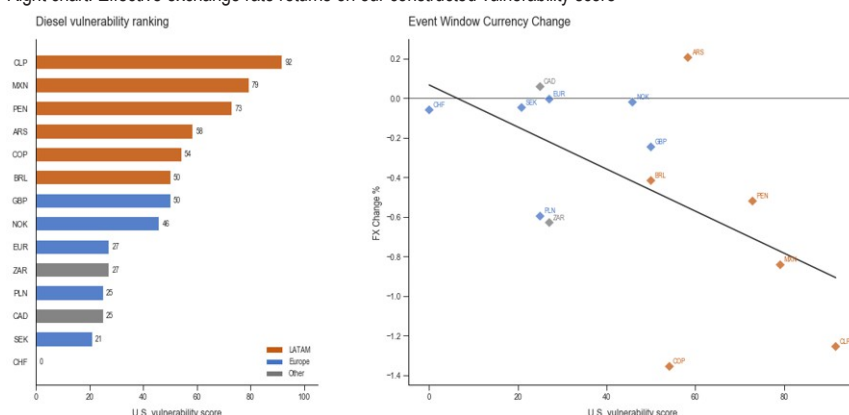
Emerging Markets FX: We remain OWEMFX primarily via Latam and EMEAEM high yielders. Latam is most directly impacted by the potential US diesel export ban, but we believe this may already be well priced. We added tactically short ZAR/HUF last Friday to reflect relative diesel exposure and likely hawkish NBH under a new, lower inflation target.

FX Derivatives: FX vol muddles the x-asset space. Political risks favor bearish EUR dual digis, worst-ofs, and long FVAs. Earnings optimism supports SPX up & AUD/JPY down or USD/CHF up & RTY down. Intervention risk caps USD/JPY and favors skew-selling. With vol likely contained, USD/HUF and GBP/USD carry and rolldown remain attractive.

Figure 1: US diesel vulnerability informed FX price action on export ban news... DM is more insulated than EM; GBP worst-ranked in DM, LATAM in EM

Left chart: Ordinal diesel vulnerability (to a potential US import ban) index

Right chart: Effective exchange rate returns on our constructed vulnerability score



The ordinal US diesel vulnerability score equally weights the percentile ranks for U.S. diesel dependency relative to total domestic diesel consumption, total fuel consumption, and inverse inventory cover. Higher scores indicate greater relative vulnerability within the currencies shown.

Source: J.P. Morgan

Global FX Strategy

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FX Outlook

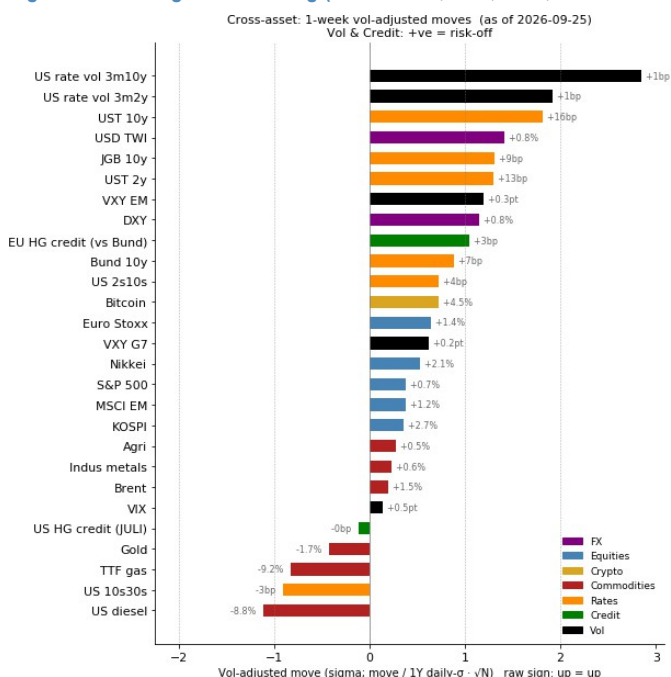
Dollar on Diesel: cheap and still running

- Even with the latest strengthening, dollar valuations still look cheap with seasonals supportive...
- ...and US exceptionalism – Macro's Schrödinger's cat – seems more alive than dead. Stay bullish USD.
- We discuss FX implications of the US diesel ban.
- Immediate impact will first be on countries with direct US diesel dependencies. DM vulnerabilities are more contained than EM. GBP, EUR most exposed in DM. Globally, Latam is most exposed.
- In the event of a perma-diesel ban, the spillover impact will broaden. Countries with high diesel "intensity" and import dependencies are Antipodeans in DM and ZAR, PHP in EM.
- Mitigating factors and details of implementation will matter.
- Dependencies notwithstanding, our outlook on the most exposed in DM is unchanged (long GBP, AUD). In EM, our strategists remain overweight Latam and EMEA EM high yielders, but turned underweight ZAR.
- Next week: US payrolls, PCE, RBA, UK Labour Party Conference

The dollar still looks too weak

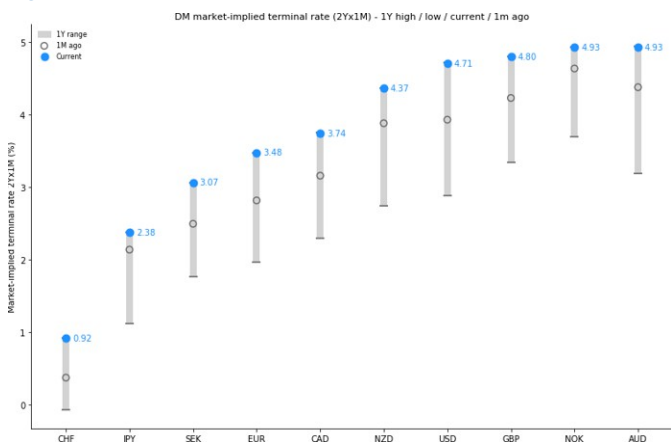
Even with the latest strengthening, the dollar is under-shooting the rates move. Macro markets remain preoccupied on rates which delivered another two-sigma move this week, after an already tumultuous month. While the dollar has strengthened in line with our bullish view, the aggregate moves are still smaller magnitude in FX by comparison with the broad dollar index 1.5 sigma stronger over the past week and only a handful of currencies registered >two sigma weakening (CAD in G10, TRY, MXN, COP in EM; Figure 1). With the latest rates increase, central bank rates across DM are now sitting at 1-year highs (Figure 2). Crucially for the dollar, the Fed has re-priced the most within DM central banks this week as US rates increased without a simultaneous increase in oil prices; the latter has been more relevant for the pricing of other central banks and hence US rate spreads continued to widen in favour of the dollar, which the broad index continues to lag (Figure 3).

Figure 1: FX moves remain tamer relative to rates: the broad dollar index 1.5 sigma stronger and only a handful of currencies registered >two sigma weakening (CAD in G10, TRY, MXN, COP in EM)



Source: J.P. Morgan

Figure 2: Central bank pricing across DM are now sitting at 1-year highs...



Source: J.P. Morgan

Figure 3: ...with the broad dollar still undershooting the widening in US-RoW yield spreads



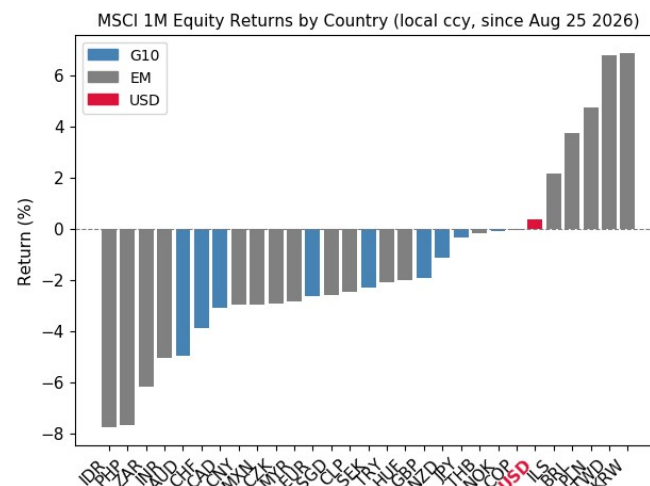
Source: J.P. Morgan.

We stay bullish the dollar pre-payrolls on valuations and seasonality. However, even with our recommended USD longs in the green, we acknowledge that the outcome (so far) has been unsatisfactory given the smaller magnitude and reluctant USD response. With multiple check boxes ticked, the dollar should have arguably been even stronger (the broad dollar is 2% weak vs. rate spreads now). We are attributing this undershoot partially to the dynamics in the rest of the world. Inflation is sticky globally so central banks hikes are synchronized and notably, growth is also strong globally, including among energy importers like the Euro-zone, which has been a surprise.

US exceptionalism: Macro's Schrödinger's cat

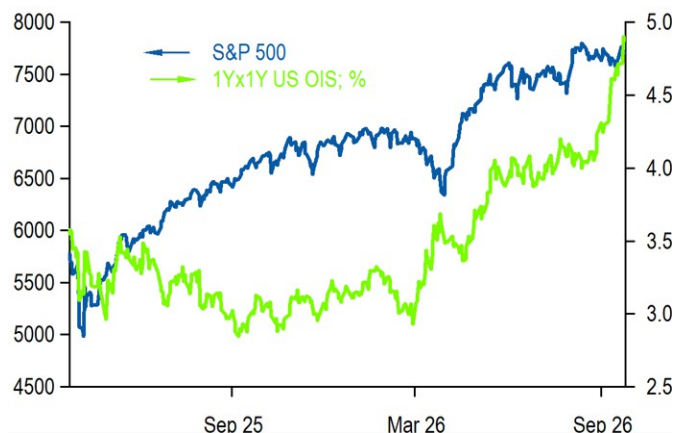
Hence, the “US exceptionalism” label doesn’t strictly apply to the current macro environment; but it seems more alive than dead as shades of exceptionalism still linger on several dimensions. US equities have once again started to outperform vs. other markets, even with the aggressive Fed re-pricing (Figure 4, Figure 5); Atlanta Fed nowcast is north of 5% and an October hike is in play judging from market pricing. US payrolls will be the main catalyst next week, but barring an extreme soft surprise, this combination of growth momentum, valuation undershoot and positive seasonality keeps us USD-bullish for now.

Figure 4: US equities have once again started to outperform vs. other markets...



Source: J.P. Morgan.

Figure 5: ...the aggressive the Fed re-pricing hasn't derailed equities



Source: J.P. Morgan.

Potential US diesel export ban: FX take-aways

A potential 90-day full or partial diesel export ban by the US has been discussed and could have repercussions for FX by widening the gap in availability / prices of diesel between the US and rest of the world. **Relative terms of trade and growth divergences have both been meaningful drivers of currency returns in 2026; hence, such a ban could have the potential to intensify both factors** on margin and hence, we consider the relative vulnerabilities of various currencies to this issue in the event adverse scenarios are realized. **An upfront caveat is that the details are still unknown and there could be several mitigating factors.** One unknown is

how long the ban lasts for; our oil strategists have pointed towards logistical difficulties regarding domestic transportation of diesel could make the policy problematic once the 1-month mark is hit ([Day 31 and beyond](#), Kaneva et al)

DM vulnerability contained relative to LATAM EM but outlook unchanged on mitigating factors

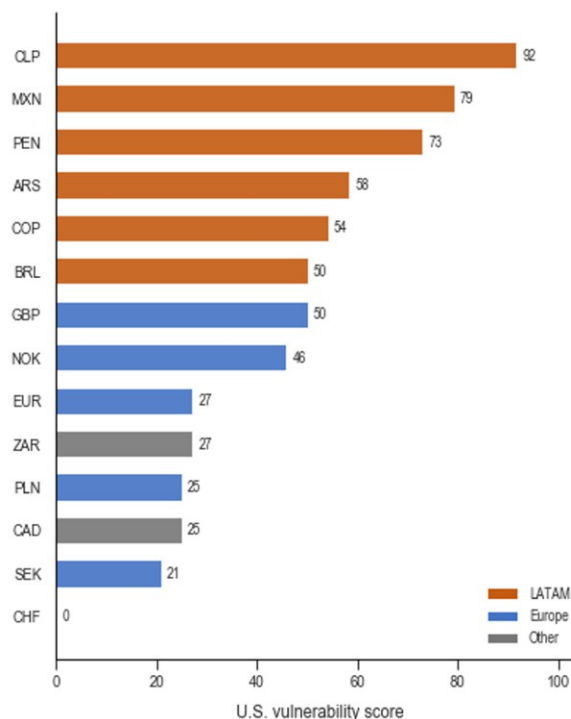
The bottom-line conclusion is:

- **Immediate impact** will first be on countries with direct US diesel dependencies. **DM vulnerabilities are more contained** with **GBP most exposed**, followed by **EUR**. Globally, **Latam is most exposed**.
- **In the event of a perma-diesel ban**, the impact of higher prices is likely to spillover globally to beyond just the US importers. Countries with high diesel “intensity” and import dependencies include the **Antipodeans in DM** and **ZAR and PHP in EM**.
- **Mitigating factors and details of implementation will matter**. Dependencies notwithstanding, **our outlook on the most exposed in the DM is unchanged (long GBP and AUD)**. In EM, our strategists remain overweight **Latam and EMEA EM high yielders (COP, MXN, TRY, HUF, BRL in options)**, while noting that these risks may already be well priced; however, they turned **underweight ZAR**.

Our conclusion is based on an ordinal vulnerability score (Figure 6) we constructed. We correlate this to the immediate FX response to Trump’s messaging on the 22nd finding that our diesel vulnerability score informed the adverse market reaction proportionally (Figure 7). Inputs into the score include:

Figure 6: US diesel vulnerability ranking: DM more insulated than EM; GBP worst-ranked in DM, LATAM in EM

Ordinal diesel vulnerability (to a potential US import ban) index

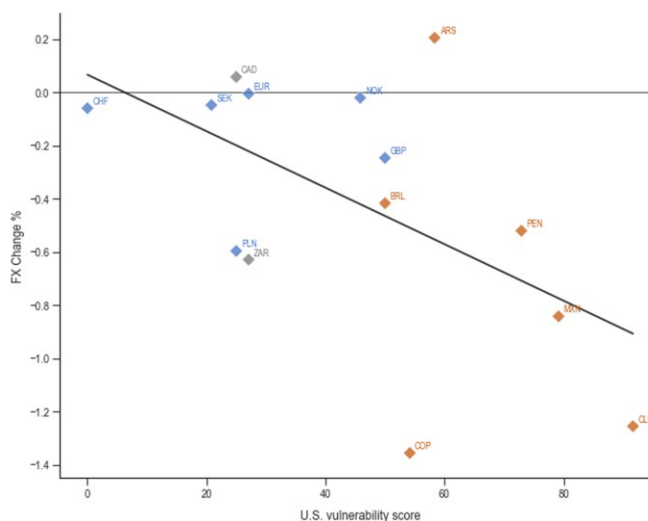


The vulnerability score equally weights percentile ranks for U.S. diesel dependency, U.S. diesel relative to total-fuel demand, and (inverse) inventory cover. Higher scores indicate greater relative vulnerability within the currencies shown.

Source: J.P. Morgan

Figure 7: FX price action in response to potential US diesel export ban was informed by our vulnerability rankings

Effective exchange rate returns on our constructed vulnerability score



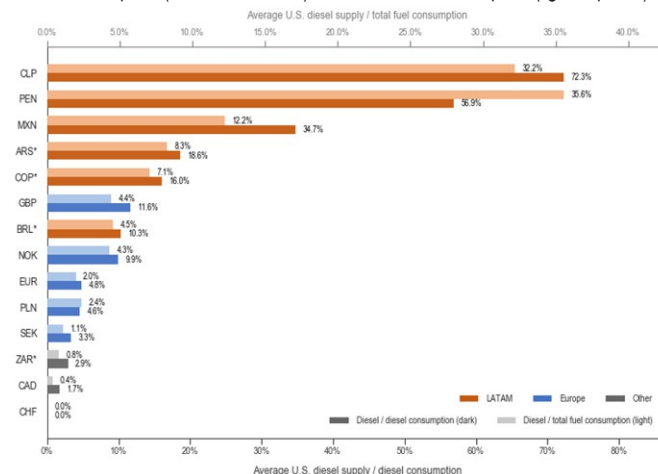
Vulnerability scores equally weight percentile ranks for U.S. diesel dependency, U.S. diesel relative to total-fuel demand, and inverse inventory cover. Higher scores indicate greater relative vulnerability within the currencies shown.

Source: J.P. Morgan

1. **Imported US diesel as a share of total domestic diesel consumption:** Figure 8 (dark bars, bottom axis) shows that DM is more insulated than EM on this metric. In DM, Eurozone's and UK's share of US diesel in total domestic diesel consumption is below 12% with the UK screening on the more exposed end of the spectrum. Globally, the most exposed countries are clearly LATAM where US diesel imports account for at most 72% of total diesel consumption.
2. **US diesel share of overarching fuel consumption:** our second input sends a similar message (Figure 8; light bars, top axis). **Europe and the UK are most exposed in DM** even more clearly given the composition of fuel use more generally and contained use of diesel. **LATAM is still the most vulnerable on this metric**, the greater exposure is highlighted though appears less problematic as may at first be suggested by examination of diesel consumption shares.
3. **Stockpiles: A mitigating factor which reinforces our view of a limited potential impact, especially for EUR comes from inventories**, our third and final input into the diesel vulnerability score. The capacity for many European countries to outlast even a full 90 day ban (Figure 9), which already seems like the most adverse scenario, provides assurance that the materialized outcome of a potential export ban by the US will not extend into shortages but will not shield from price effects. **The UK ranks among the worst on this metric.** This raises UK's vulnerability score on our framework, but we also note that the UK has diesel exports that can be scaled back if needed, making the materialized outcomes not as deterministic as initial vulnerabilities might suggest. Finally, **LATAM screens as more exposed to this outcome also**, yet, this **first-order examination of inventories still neglects the capacity of countries to refine imported crude oil into diesel**, providing further mitigation.

Figure 8: Immediate impact: DM Europe is less practically dependent on US deliveries for its diesel and fuel than LATAM EM

Average share of US diesel imported (in 2025 and in Jun-Aug 2026) in total domestic diesel consumption (dark, bottom axis) and wider fuel consumption (light, top axis)

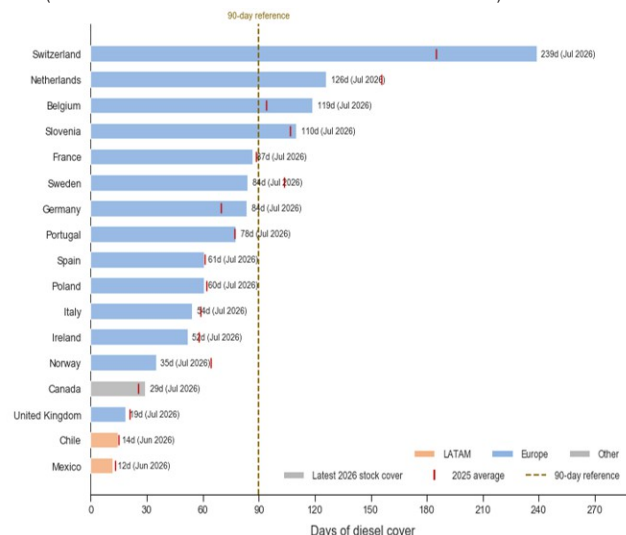


* Denotes that due to missing data for a total fuel consumption denominator, a diesel share proxy has been applied based on the regional average

Source: J.P. Morgan Commodities Strategy, S&P Global Platts, US EIA, JODI

Figure 9: Inventories mitigate the potential for tangible shortages in Europe and would help Europe outlast even a full 90 day export ban...

Days of diesel cover by country, with 2025 averages and the latest cover provided by JODI (where cover = total diesel inventories / demand for diesel)



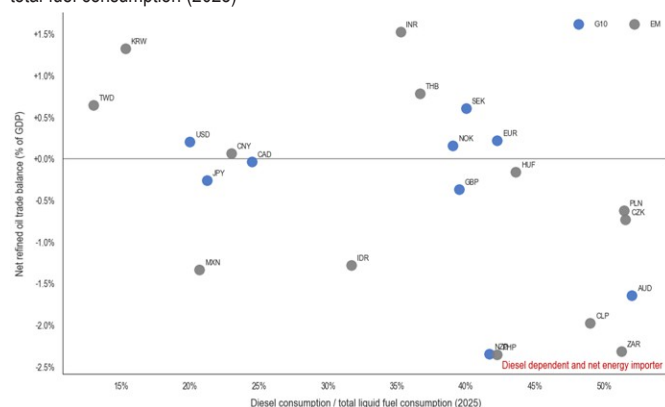
Source: JODI

This analysis all pertains to the immediate impact on direct importers of US diesel; however, a **perma-export ban could have global ramifications for diesel prices which could result in broader impact on countries with high exposure to diesel and refined oil product importers who don't even import from the US**. Our EM team flags this as a more pertinent risk. Figure 10 highlights the most vulnerable currencies based on import dependencies and diesel intensity. **The**

Antipodeans are the most exposed in DM as heavy importers and users of diesel, if this diesel ban leads to rising diesel prices over a sustained period of time. Our **EM strategists note that ZAR and PHP are the most vulnerable** (see *Emerging Markets*, Christovova et al), consistent with the cluster exposed on this chart.

Figure 10: Diesel prices will impact importers who are exposed to diesel if sustained, with the Antipodeans as exposed in DM and CLP, ZAR and PHP in EM

Net refined oil trade balance as (% of GDP) in 2024 vs diesel consumption out of total fuel consumption (2025)



Subject to data availability

Source: JODI, J.P. Morgan, UN Comtrade, ITC Trade Map

Next week: US payrolls, PCE, RBA, UK Labour Party Conference

In G10, the **RBA** (Tue; JPM: +25bps) meets next week, with our economists and markets expecting a hike in this already high-yielder, given the hawkish shift in RBA communications towards a focus on energy prices, excess domestic demand and AI investment. **We remain long AUD into the meeting.** Beyond that, we will receive additional context to recent rate decisions from the **BoJ** (summary of opinions) and **ECB** (Lagarde speech). The former will be particularly relevant given the dovish signal from the 7-2 vote split with two dissents against a hike, despite Ueda's more hawkish press conference delivery. **UK's Labour Party Conference** takes place 27-30th September, but we do not expect much fiscal policy detail to be revealed that would warrant an increase in GBP risk premium.

Among data releases, US labor market and ISM data will be most in focus for FX: **core PCE, final 2Q GDP, ADP (Wed), ISM manufacturing + prices paid (Thu)** and then **payrolls and earnings (Fri)**. We note that the September payrolls release beat expectations significantly (by an average of 100k) in each of the last three years, suggesting some residual seasonality that may again become apparent and support the dollar. This comes alongside USD-supportive seasonality this and next week, most pronounced vs SEK and NZD. Otherwise, the **EM including China PMI (Wed/Thu)** will show whether global growth resilience continues in the face of higher energy prices. In Europe, the **Germany (Wed) and Euro area (Fri) flash HICP prints** will be worth keeping in mind, though the US/Fed side of the equation will be more important for EUR/USD.

In EM, the main scheduled central bank event is **Colombia's BanRep** (Wed; JPM: on hold). **Brazil's general elections** (Sun) pose two-sided risks to BRL given tight polling, limited risk premium and crowded long positioning; our EM strategists' latest note [here](#).

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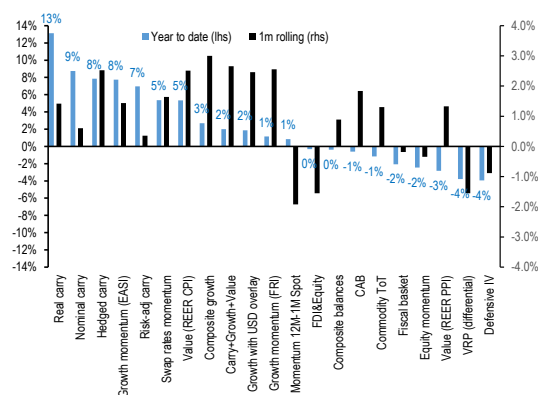
Main trade recommendations

Trade type	Currency	Trade	P/L
Macro portfolio			
Cash (new trades)	NOK/SEK	— Buy NOK/SEK	0.00%
Cash (existing)	SEK/JPY	— Sell SEK/JPY	5.18%
	USD/SEK, USD/CAD	— Buy USD vs SEK, CAD 50:50 basket	3.06%
	AUD/CHF, USD/CHF, CHF/HUF, CHF/NOK	— Sell CHF vs AUD, USD, HUF, NOK	2.75%
	GBP/SEK, GBP/CHF	— Rotate from GBP vs SEK, EUR basket to SEK, CHF 50:50 basket	0.05%
Options (new)		—	-
Options (existing)			
Closed	CAD/MXN	— Sell CAD/MXN	3.00%
Derivatives portfolio			
RV (new trades)			
RV (existing)	EUR/BRL	— Sell 4M EUR/BRL 6.45 one-touch call.	-4.6%
	USD/CNH-EUR/USD	— Buy a 3M USD/CNH 45D put with EUR/USD upside KO at 1.18.	-8.4 bps.
	EUR/ZAR	— Buy a 3M EUR/ZAR DNT at k1 = 19.10 and k2 = 18.20.	-4.6%
	AUD/CHF-GBP/CHF	— Buy an equal-weighted basket of 6M 25D vega-neutral risk-reversals in CHF vs. AUD and GBP	0.0 vol pts.
	USD/BRL	— Sell delta-hedged 3M USD/BRL 10 delta put	-1.2 vol pts.
	USD/CHF	— Buy delta-hedged 6M USD/CHF 25D risk-reversal (Long USD put, Short USD call)	-0.1 vol pts.
	USD/ZAR	— Buy 2M in 4M USD/ZAR FVA	-1.1 vol pts.
RV (closed)	CHF/JPY-USD/JPY	— Buy 3M 2% OTMS CHF/JPY put (1x notional) vs. Sell 3M 2% OTMS CHF/JPY call (2x notional) vs. Buy 3M 2% OTMS USD/JPY call (1.3x notional)	175 bps.

FX Models

Figure 1: Both carry and growth signals have outperformed over the past month

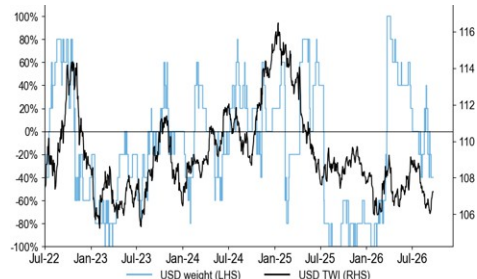
YTD & rolling 1M returns of FX single signal cross-sectional strategies with trading costs (top 5/bottom 5 in global portfolio). Calculation as of Sep 21st



Source: J.P. Morgan

Figure 2: The USD weight in our economic momentum framework is now at -40%, as more countries now show positive growth momentum

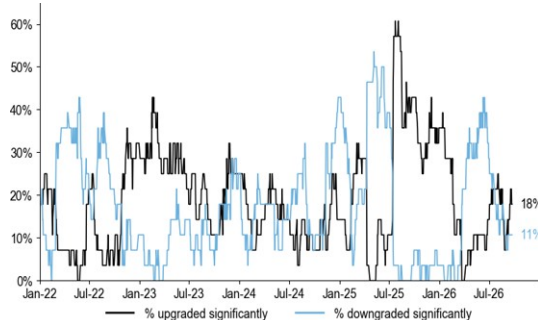
Net USD weight in our growth momentum framework (ie. downside/upside in global growth is USD positive/negative). Plotted against JPM USD TWI



Source: J.P. Morgan

Figure 3: 18% of currencies in our global universe show significantly positive growth momentum vs 11% negative

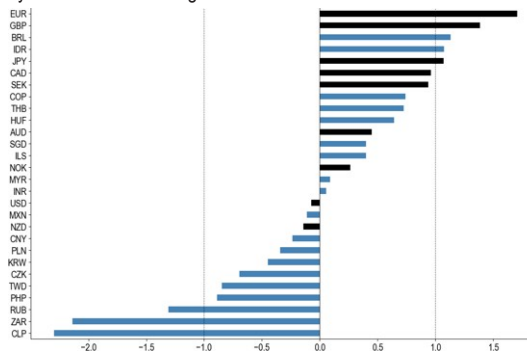
Percentage of countries (among 28 tradable currencies) for which the 1yr z-score of 3mo changes in JPM FRI exceeds +/- 1-sigma



Source: J.P. Morgan

Figure 4: The distribution of global growth momentum has turned more positive; EUR & GBP now rank top-2 in the cross-section; USD remains in the bottom half

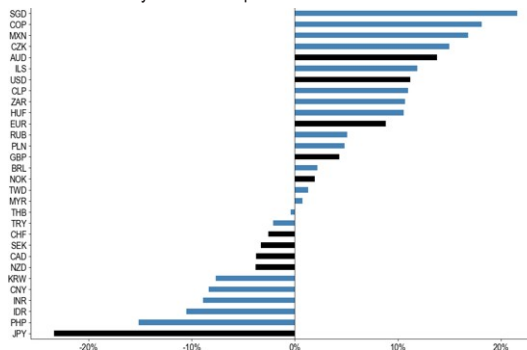
1yr z-score of 3M changes in JPM Forecast Revision Indices



Source: J.P. Morgan

Figure 5: More currencies screen rich (18) vs cheap (12) on long-term REER metrics

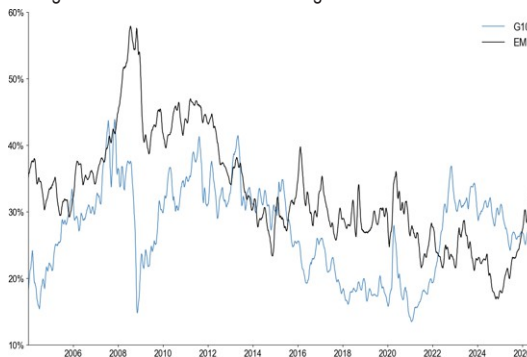
Current deviation of average REER PPI/CPI vs 15yr moving average, %. +/- value indicates currency is rich/cheap



Source: J.P. Morgan

Figure 6: EM valuation dispersion remains elevated, whereas the G10 metric has declined slightly

Valuation gap between longs and shorts in top 2/bottom 2 G10 & top 3/bottom 3 EM average REER PPI & REER CPI strategies.



Source: J.P. Morgan

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Figure 7: The TEAM model maintains a long carry/energy exposure; NOK & CAD are preferred G10 longs with growth metrics also holding up; the portfolio is slightly long USD now given implied vol has ticked up; GBP is also part of the longs now given decent growth metrics; EUR and CHF are no longer funders and the portfolio is now short ZAR & CLP to hedge directional risks

Latest currency weights & input variables from our FX multi-factor T.E.A.M. model. Rebalancing occurs on Tuesdays. All signals are z-scored in the cross-section

Dispersion Weight:	9%	14%	14%	12%	11%	5%	20%	15%	Composite multi-signal score	Top 5 / Bottom 5 weights	Variance - TEAM Score Ptf Optim	
Exposure	Carry		Growth		Defensive		ToT	Value				
Signal:	Real Carry	RA Carry	Equity 1M	FRI MoM	EASI	3MIV Chg	Com. ToT	REER	TEAM Score	2w chg	Weights	Weights
BRL	2.00	0.74	2.00	1.01	-2.00	-2.00	1.68	0.06	0.72	-0.08	20%	20%
NOK	-0.05	0.25	0.04	0.24	0.45	0.31	1.95	0.08	0.54	0.00	20%	20%
CAD	-0.82	-0.47	-0.18	0.87	0.65	0.92	1.73	0.61	0.50	0.14	20%	20%
COP	1.84	0.85	0.47	0.62	0.11	-1.00	1.11	-1.41	0.41	-0.16	20%	7%
IDR	1.22	0.77	-1.96	0.99	0.65	0.07	0.26	1.23	0.37	-0.31	20%	20%
USD	0.07	0.18	0.54	-0.25	-1.46	0.67	2.00	-0.77	0.24	0.12	-	6%
INR	1.06	1.40	-0.75	-0.09	-0.25	-0.02	-0.51	1.08	0.20	0.16	-	4%
KRW	-0.53	0.16	0.54	-0.64	1.70	1.09	-0.85	0.97	0.19	-0.31	-	1%
GBP	-0.15	0.13	-0.04	1.34	0.83	0.56	-0.35	-0.14	0.19	0.27	-	3%
TWD	0.32	0.26	2.00	-1.04	1.05	-0.94	-0.86	0.14	0.14	0.26	-	0%
AUD	-0.31	0.31	-0.80	0.39	-0.29	0.93	1.62	-1.01	0.14	-0.02	-	0%
JPY	-1.20	-0.35	0.36	1.00	-0.31	0.67	-0.84	2.00	0.13	0.05	-	0%
MXN	0.88	0.74	-0.77	-0.19	1.56	-0.60	0.32	-1.30	0.07	0.03	-	0%
SEK	-0.11	-0.22	0.14	0.85	0.78	0.30	-0.95	0.56	0.07	0.04	-	0%
EUR	-0.82	-0.27	-0.32	1.70	1.81	0.78	-0.89	-0.55	0.02	0.15	-	0%
CHF	-1.24	-0.81	-0.72	-0.16	1.28	0.67	0.52	0.50	0.01	0.20	-	0%
PLN	-0.38	0.15	1.86	-0.55	0.17	0.18	-0.92	-0.19	0.00	0.08	-	0%
NZD	-0.77	-0.03	-0.15	-0.33	-0.26	0.05	-0.09	0.61	-0.09	-0.13	-	-2%
ILS	-0.28	-0.07	0.91	0.25	-0.25	-0.50	-0.42	-0.84	-0.14	0.03	-	-4%
THB	0.19	0.06	-0.28	0.61	-1.01	-0.38	-0.57	0.30	-0.14	0.12	-	0%
HUF	-0.07	0.34	0.78	0.49	-1.06	0.18	-0.77	-0.71	-0.16	0.08	-	-1%
PHP	0.64	0.41	-1.63	-1.07	-0.25	0.09	-0.97	1.66	-0.22	-0.12	-	0%
CLP	-0.85	0.13	0.13	-2.00	-0.14	-0.65	0.25	-0.76	-0.38	-0.20	-20%	-13%
CNY	-0.74	-2.00	-0.94	-0.44	-0.63	0.99	-0.65	1.03	-0.54	0.01	-20%	-20%
ZAR	0.44	0.53	-1.38	-2.00	-0.63	-1.00	-0.30	-0.73	-0.60	-0.27	-20%	-20%
CZK	-0.53	0.04	0.02	-0.91	-1.53	0.59	-0.78	-1.12	-0.61	-0.05	-20%	-20%
SGD	-1.15	-0.78	-0.17	0.27	-0.72	0.05	-0.77	-1.74	-0.70	0.10	-20%	-20%
TRY	Currently excluded: systematically not tradable											
MYR	Currently excluded: systematically not tradable											
RUB	Currently excluded: systematically not tradable											

Source: J.P. Morgan

Real Carry: Currency 1M forward-implied yield – core CPI

RA Carry: Currency 1M carry vs USD / dollar pair 1M ATM implied volatility (Risk-adjusted carry)

Equity 1M: 1M return of MSCI local Currency equity index

FRI MoM: 1Y Z-Score of 3M change in J.P. Morgan Growth Forecast Revision Indices

EASI: J.P. Morgan Economic Activity Surprise Indices (EASIs) require significant treatment to be processed, notably for countries with a low number of econ consensus. For certain countries, the EASI signal is an average of the local & the broad region (Nordics, IDR, NZD) or the broad EM EASI in certain cases but with a reduced weight. Final signal is EASI 6Wmovavg / 1Y Rolling Max(|Max(EASI)|, |Min(EASI)|)

Defensive IV: 1M change in dollar pair 3M ATM-implied volatility (traded mean-reversion); opposite of VXY chg is implemented for USD, JPY and CHF

Com. ToT: 3Y Z-Score of 1W4W and 1M12M commodity terms of trade deviations (average) from JPMaQS

Value REER: Average of REER CPI and REER PPI 15 years deviation

All signals are Z-scored in the cross section (and trimmed to -2/+2)

Figure 8: Current Top 5/Bottom 5 allocation of our single signal cross-sectional strategies

	Fiscal baskets	Carry + Growth + Value	Risk-adj carry	Nominal carry	Hedged carry	Real carry	Value (REER PPI)	Value (REER CPI)	CAB	FDI & Equity flows	Composite balance	Growth EASI	Growth FRI	Composite growth	Growth FRI USD overlay	Swap rates momentum**	G10 rates momentum*	Momentum Spot**	Equity momentum	Commodity ToT	Defensive IV	VRP (differential)
top 1	NOK	IDR	INR	COP	BRL	BRL	PHP	JPY	TWD	GBP	THB	KRW	EUR	IDR	EUR	BRL	MXN	BRL	USD	USD	KRW	CLP
top 2	CHF	INR	BRL	BRL	COP	COP	JPY	IDR	SGD	THB	PLN	IDR	GBP	EUR	GBP	JPY	NOK	AUD	TWD	NOK	CNY	BRL
top 3	TWD	PHP	COP	INR	USD	IDR	CNY	BRL	NOK	BRL	JPY	MXN	BRL	GBP	BRL	EUR	-	ZAR	PLN	BRL	AUD	ZAR
top 4	SEK	KRW	IDR	MXN	IDR	MXN	INR	KRW	KRW	PLN	GBP	CHF	JPY	MXN	IDR	GBP	-	ILS	AUD	CAD	THB	HUF
top 5	KRW	JPY	MXN	PHP	INR	INR	IDR	CLP	SEK	USD	NOK	TWD	IDR	CAD	JPY	NOK	-	KRW	COP	EUR	CLP	SEK
bottom 5	JPY	CNY	CAD	SEK	ZAR	EUR	MXN	PLN	AUD	NOK	CHF	CNY	CZK	CNY	USD	CHF	-	CNY	PLN	CLP	SEK	SEK
bottom 4	INR	CZK	JPY	SGD	ILS	CLP	COP	COP	NZD	SGD	KRW	SGD	TWD	PHP	USD	USD	-	INR	JPY	TWD	PLN	PLN
bottom 3	CNY	ZAR	CHF	CNY	NZD	JPY	AUD	ILS	USD	SEK	SEK	CZK	PHP	CLP	USD	THB	-	TWD	AUD	TWD	ZAR	CAD
bottom 2	BRL	CLP	SGD	JPY	CNY	CHF	CLP	MXN	GBP	TWD	CLP	THB	ZAR	CZK	ZAR	INR	USD	INR	IDR	EUR	COP	TWD
bottom 1	USD	SGD	CNY	CHF	CLP	SGD	SGD	CZK	PHP	KRW	CAD	BRL	CLP	ZAR	CLP	CNY	AUD	JPY	PHP	SEK	BRL	ILS

*G10 basket only; **Basket of 20 most liquid currencies only

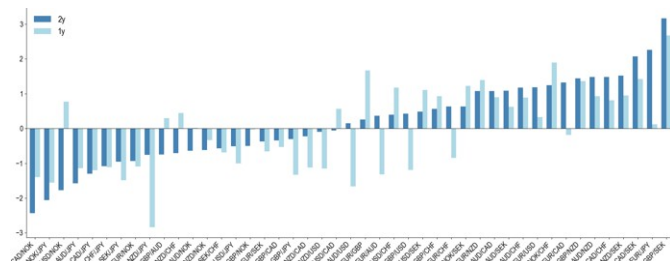
Source: J.P. Morgan

G10 FX short-term fair value

Cross-sectional overview

Figure 1: GBP/SEK and CAD/SEK screen among the richest; CAD/NOK the cheapest

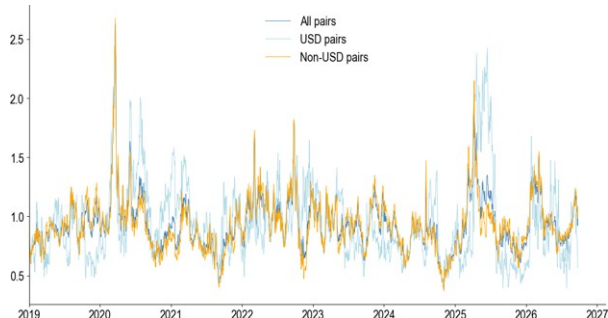
Z-score of residual on short-term fair value model



See updated [methodology note](#) for details. Inputs: 2y OIS rate spread, relative JPMaQS commodity terms of trade for all pairs, and peripheral spreads for EUR pairs. 2y and 1y regression hz. Values on all charts as of 24-Sep COB. Some models may have low R-squared or negative/unintuitive coefficients, but all are included.
Source: J.P. Morgan, JPMaQS

Figure 2: Average dislocations have decreased significantly especially for USD pairs

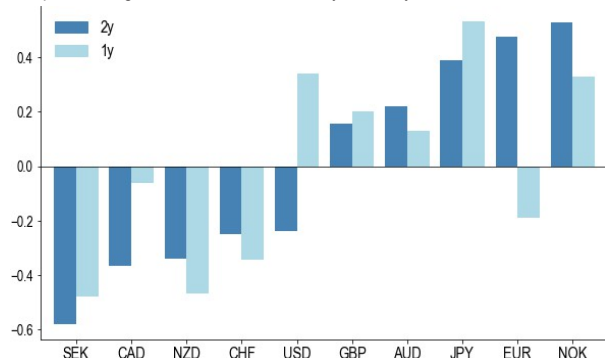
Average of absolute dislocations (z-score residuals) in the G10 cross section



Source: J.P. Morgan, JPMaQS

Figure 3: NOK & EUR are the richest on average while SEK & CAD screen cheapest

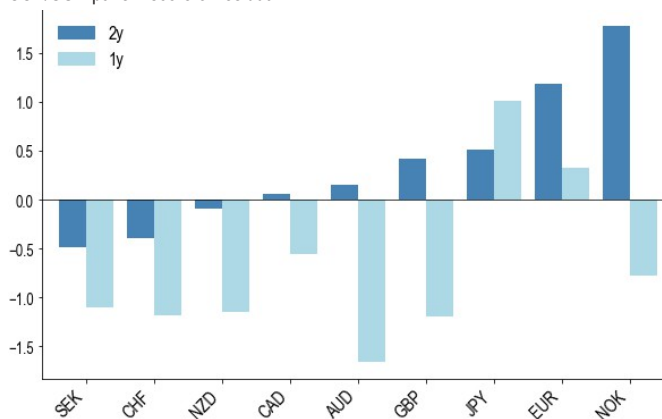
R-squared-weighted z-score of residual by currency



Source: J.P. Morgan, JPMaQS

Figure 4: CHF & SEK screen cheap to USD while other G10 screen fair to rich vs USD; NOK & EUR screen the richest

CCY/USD pairs z-score of residual



Source: J.P. Morgan, JPMaQS

Figure 5: EUR/USD screens further rich vs fair value (fair value 1.09 handle on 2y models); GBP/USD is also significantly rich (fair value 1.29 handle on 2y models); USD/SEK screens cheap (FV: 10.00)

Fair value of USD pairs based on : 2y OIS rate spread and relative JPMaQS commodity terms of trade; peripheral spreads included for EUR/USD

	EUR/USD	GBP/USD	AUD/USD	NZD/USD	USD/CAD	USD/NOK	USD/SEK	USD/CHF	USD/JPY
Spot	1.13735	1.3219	0.7021	0.5595	1.4138	9.5086	9.9337	0.8289	158.9
FV	2y model	1.0974	1.2927	0.6959*	0.5673	1.4168*	10.2378*	10.0094*	0.8422*
	1y model	1.1336	1.344*	0.715*	0.5722	1.4049*	9.4495*	9.6457	0.8129*
Rsq	2y model	0.73	0.10	0.77	0.45	0.56	0.70	0.47	0.43
	1y model	0.51	0.02	0.81	0.44	0.51	0.58	0.34	0.36

* = coefficient of rate spread or commodity terms-of-trade is negative and significant; spot refs as of 24-09 2026 COB

Source: J.P. Morgan

Chart of the week

Figure 6: EUR/USD is screening increasingly rich now as FV has dropped significantly (and more so than spot)

EUR/USD vs 2y regression model based on 2y OIS rate differentials, relative CTOT, peripheral spreads; R-squared 0.73; z-score +1.18 s.d.



Source: J.P. Morgan, JPMaQS

Macro Trade Recommendations

- Our portfolio has fared reasonably well over the past week, with renewed USD strength offsetting mixed performance across our pro-carry positions.
- This week's strong US data and more hawkish Fed-speak validated our USD-bullish bias and suggest scope for further near-term Fed repricing; hold long-USD basket (vs CAD & SEK) into US payrolls.
- The stronger dollar has pressured EM FX while supporting CAD on crosses, triggering the take-profit stop on our short CAD/MXN position...
- ... but stay long USD/CAD given still-aggressive BoC pricing that is not reflective of underlying Canadian fundamentals.
- We scale up DM carry exposure by re-entering long NOK/SEK after this week's Norges Bank and Riksbank decisions were net supportive...
- ... and remain short SEK/JPY as recent rate checks and USD/JPY's renewed approach towards 160 raise the prospect of yen-supportive policy support.
- CHF should remain under pressure in a higher-growth, higher-yield global backdrop and the SNB signaled little urgency to tighten this week; hold short-CHF basket (vs AUD, USD, HUF & NOK).
- Hold long-GBP basket (vs SEK & CHF) despite recent amid better UK data, still-attractive GBP carry, and contained diesel pressures.
- Stay long AUD (vs CHF) into next week's RBA decision which should deliver another hike.
- New trade: Re-enter long NOK/SEK
- Existing trades: Long USD vs SEK & CAD basket (tighten take-profit stop to +1.25%). Short CHF vs basket of AUD, USD, HUF, NOK. Short SEK/JPY. Long GBP vs CHF & SEK basket.
- Closed trade: Hit take-profit stop on short CAD/MXN (+3.0%)

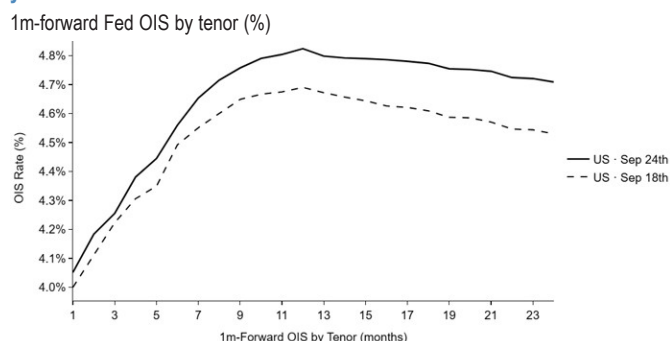
Our bullish-carry, bullish-USD portfolio has fared reasonably well over the past week, with renewed USD strength offsetting mixed performance across our carry positions. Net changes to the portfolio this week keep exposure in both sleeves intact. The dollar has been the top performer in G10 FX since we last published, benefiting our long-USD basket (vs CAD & SEK) as the seasonal and valuation tailwinds we highlighted [last week](#) were reinforced by this week's stronger US data and a further rise in global yields.

We thus retain tactical USD length into next week's US payrolls report, particularly with only ~17bps currently priced for the October FOMC meeting and with late-September seasonality that is still USD-supportive. The broader backdrop of resilient global growth and higher rates remains supportive of our carry bias despite this week's risk hiccup, although performance across our carry positions was mixed. Most notably, the stronger dollar has pressured EM FX while supporting CAD on crosses, triggering the take-profit stop on our CAD/MXN short despite little improvement in the Canadian backdrop (stay long USD/CAD). With that exit mechanically reducing our EM carry exposure, **we add to DM carry via a new long NOK/SEK position** following this week's European central bank decisions, to go along with our existing short-CHF and long-GBP baskets. Elsewhere, we retain short SEK/JPY as recent rate checks and USD/JPY's renewed approach towards 160 raise the prospect of yen-supportive policy action, and stay long AUD (via short-CHF basket) into next week's RBA decision which should deliver another hike. **On net, the portfolio remains centered on USD longs against low-yielders and selective G10 carry, with SEK and CHF as our preferred funding currencies.**

Our tactical conviction in USD length has increased as strong US data, more hawkish Fed-speak, and persistent energy risks suggest scope for further near-term Fed repricing; hold long-USD basket into next week's US payrolls release. This week's US flash PMI report was strong across the board: the composite rose to a five-year high of 58.4, employment growth accelerated to its fastest pace in more than four years, and input costs posted their sharpest monthly increase since 2020. The release triggered an out-sized market reaction, with Treasury yields rising ~10-15bps across the curve as investors brought forward expectations for further Fed tightening. Recent hawkish Fed-speak has corroborated that signal, with officials increasingly emphasizing that persistent supply pressures are being compounded by stronger demand and may require additional policy restraint. Still-elevated energy prices and growing discussion of potential restrictions on US diesel exports have added another near-term inflation risk, even as little premium for a ban appears embedded in inflation markets (see [US Treasury Market Daily](#) and *Outlook* section for further detail). Fed OIS pricing has moved higher in response and now looks for ~4 additional hikes over the next year (Figure 1). But notably, the upcoming October meeting is not yet fully priced (currently ~17bps), suggesting scope for further near-term repricing if next week's US payrolls report corroborates the PMI's strong employment signal. Amid these developments, the USD has also started converging higher towards fair value, which has been directionally encouraging, though there is still room for a further valuation catch-up from here (Figure 2). Taken together with the late-September seasonal support as dis-

cussed [last week](#), this warrants holding USD length through payrolls albeit with a tighter take-profit stop (+1.25%).

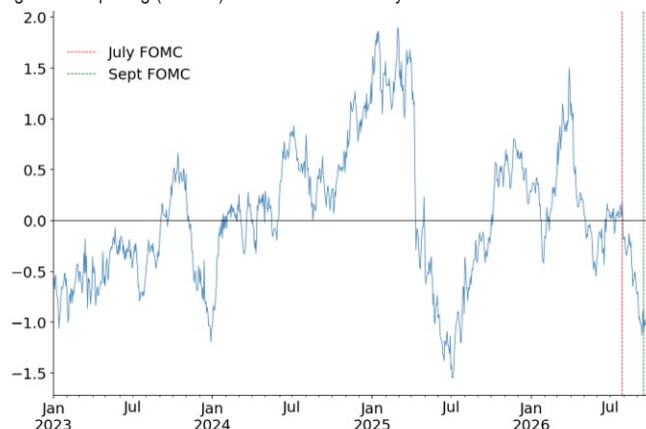
Figure 1: Fed OIS pricing has moved higher in response to stronger US data this week and now looks for ~4 additional hikes over the next year



Source: J.P. Morgan

Figure 2: Some of the USD discount observed in recent months has shown signs of slightly reversing

Avg USD mispricing (z-score) vs fair value across cyclical and rates models



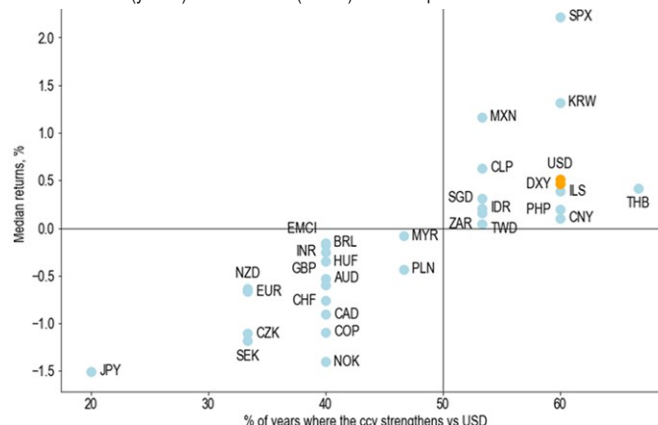
Source: J.P. Morgan, Bloomberg Finance L.P.

But we stop short of adding fresh USD exposure as the broader global growth backdrop remains constructive and the dollar is already approaching local highs against several currencies. The US was clearly the standout in this week's PMIs, but the improvement was not confined to the US, with the Euro area composite also exceeding expectations and pointing to a broader pickup in activity. More broadly, the global cycle remains supported by strong corporate profits, expanding capital expenditure and improving hiring indicators, while our economists have raised their second-half global growth forecast by 0.5%-pt since midyear (see [Global Data Watch](#)). This should provide some support for cyclical FX even as higher yields continue to favor the dollar against lower-yielders. Recent geopolitical developments have also skewed risk-positive on net: US-China engagement has helped contain near-term trade escalation, while seeming-

ly-constructive US-Iran discussions preserve a possible diplomatic off-ramp. Material progress with Iran could pose a tactical risk to the USD through lower energy prices and yields, but we note that 1) this has not yet materialized, and 2) the CAD leg of our basket should provide some insulation given its vulnerability to lower oil prices. October seasonality retains a modest dollar-positive tilt (+0.5% median returns for USD TWI with 60% hit-rate since 2011), particularly later in the month, but is less compelling than the late-September window now passing (Figure 3, Figure 4). We therefore hold our existing USD length (with a tighter take-profit stop) rather than adding fresh exposure at this juncture.

Figure 3: October seasonality retains a modest dollar-positive tilt, but is less compelling than the late-September window now passing...

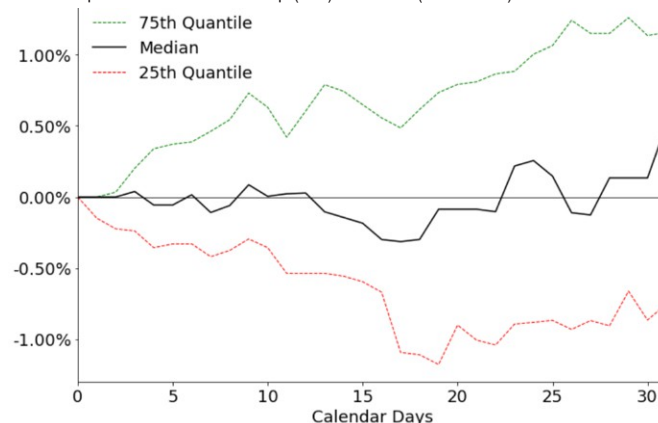
Median returns (y-axis) and hit-rates (x-axis) for USD pairs in October since 2011



Source: Bloomberg Finance L.P., J.P. Morgan

Figure 4: ... with most of the USD-supportive move taking place towards the end of the month

USD TWI performance from 30-Sep (x=0) to 31-Oct (since 2011)

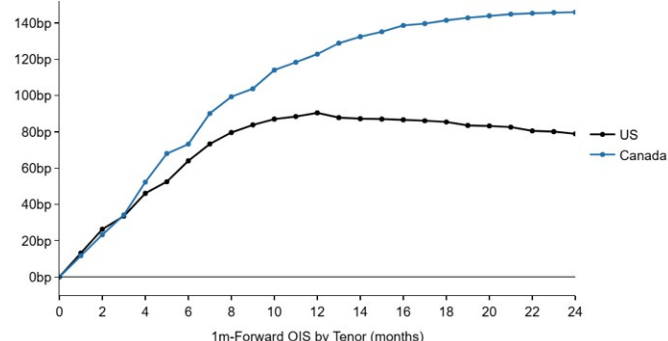


Source: Bloomberg Finance L.P., J.P. Morgan

The stronger dollar has pressured EM FX while supporting CAD on crosses, triggering the take-profit stop on our short CAD/MXN position; stay long USD/CAD given still-aggressive BoC pricing that is not reflective of underlying Canadian fundamentals. We were stopped out of CAD/MXN at a profit this week (adding to the gains realized from this theme since we first recommended the trade last September) as the pair reached new multi-month highs above 12.50. The move primarily reflected US and global developments, but MXN-specific concerns around potential US diesel-export restrictions also played a role. Renewed USD strength and higher global yields have weighed on the broader EM complex, including MXN, while CAD has strengthened on crosses alongside the dollar in line with its usual beta. Given the tactical scope for USD strength to extend further, we remain on the sidelines in CAD/MXN for now, even as we continue to regard MXN as better positioned than CAD on relative North American trade relations. Potential restrictions on US diesel exports introduce an additional near-term risk for MXN given Mexico's exposure to US diesel supply (see *Outlook* section for further detail). The Canadian rates setup nonetheless continues to argue for CAD downside: OIS markets currently price ~55bps of cumulative BoC tightening across the next three meetings and ~105bps by mid-2027, even as our [Canada economists](#) expect the Bank to remain on hold over the next several meetings in their base case. OIS markets are also pricing more BoC tightening than Fed tightening over the coming year, which looks inconsistent with the relative US and Canadian macro backdrops (Figure 5). We therefore prefer to express the bearish-CAD view via long USD/CAD rather than re-entering on crosses.

Figure 5: OIS markets are also pricing more BoC tightening than Fed tightening over the coming year, which looks inconsistent with the relative US and Canadian macro backdrops

Cumulative tightening priced in Fed vs BoC OIS curves relative to current policy rates (bps)



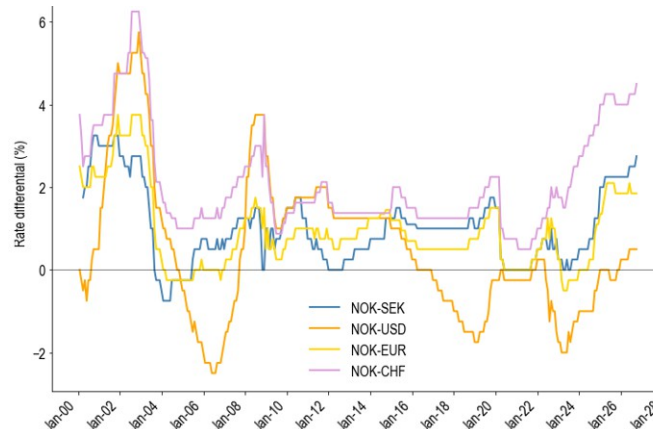
Source: J.P. Morgan

We scale up DM carry exposure by re-entering long NOK/SEK while maintaining our existing short-CHF and long-GBP baskets, with this week's central bank decisions reinforcing SEK and CHF as preferred funders. On net, this

week's [Norges Bank](#) and [Riksbank](#) decisions support re-entering long NOK/SEK, a position we have expressed at various points this year. The Norges Bank delivered a 25bp hike, retained an explicit willingness to tighten further, and signaled that rates will remain elevated for longer, preserving NOK's historically-wide yield advantage over lower-yielding G10 currencies (Figure 6). Elevated energy prices provide additional support, leaving NOK as the highest-ranked G10 currency in our cross-sectional systematic TEAM model (see *FX Models* section). The Riksbank also signaled that rate increases are expected to begin this year, but its projected path continues to undershoot market pricing and SEK remains a low-yielder in the global context. We therefore remain comfortable with SEK shorts, including against JPY, where recent rate checks and USD/JPY's renewed approach towards 160 have increased the near-term prospect of yen-supportive policy action. JPY crosses have also recently underperformed relative to the new post-pandemic highs in the US equity-bond correlation (Figure 7), which has coincided with an acceleration in the GPIF repatriation narrative and partly informs our continued short SEK/JPY bias. The SNB decision similarly encouraged CHF shorts by signaling little urgency to tighten and comfort with the franc's depreciation. More broadly, CHF should remain under pressure in a higher-growth, higher-yield global backdrop, particularly as near-term policy risks around JPY become increasingly asymmetric. Elsewhere, our long-GBP basket has underwhelmed despite sterling's relatively favorable growth and carry characteristics within G10, likely reflecting its heightened sensitivity to higher global yields as UK fiscal scrutiny intensifies. We nevertheless maintain the position, as improving activity, attractive carry, and firmer systematic signals continue to argue for GBP outperformance against lower-yielders such as SEK and CHF, while diesel pressures appear contained (see *Outlook* section).

Figure 6: NOK's yield advantage relative to lower G10 yielders is at two-decade highs, and it has notably risen above the dollar as well.

NO policy rate relative to SW, US, EZ, CH



Source: J.P. Morgan

Figure 7: JPY crosses have recently underperformed relative to the new post-pandemic highs in the US equity-bond correlation, which partly informs our continued short SEK/JPY bias

LHS: US equity-bond correlation /// RHS: G10 high-beta cross JPY (RHS)



Source: Bloomberg Finance L.P., J.P. Morgan

We stay long AUD into next week's RBA decision which should deliver another hike. AUD continues to benefit from relatively high carry, resilient global growth and supportive terms of trade. Our [Australia economists](#) expect the RBA to validate market pricing with a fourth hike next week, as senior officials have consistently emphasized the risk that persistent supply shocks raise inflation at any given level of unemployment and could feed into inflation expectations. However, they also note that this increasingly looks like risk-management tightening rather than a response to resilient domestic activity; the unemployment rate rose to 4.6% in August (already reaching the level projected by the RBA for June 2027), while Australian yields have materially outperformed US yields as markets begin to recognize the domestic constraints on further tightening. A subsequent November hike would likely require a meaningful upside surprise in third-quarter core inflation, and our [local strategists](#) expect the cash rate ultimately to realize below current forwards. Against this more two-sided backdrop, we maintain only modest AUD length (via short-CHF basket) and refrain from adding ahead of the RBA decision and subsequent CPI release.

Trades

- **Buy NOK/SEK in cash, re-expanding previous exposure**

We have been holding either long NOK/SEK outright or different combinations of NOK longs and SEK shorts since the pair was at 0.92 back in February; we continue to see merit at these levels and re-expand exposure after the Scandi central banks solidified the historically wide yield gap

(Figure 6). Energy prices remain high and supportive, which alongside its carry keep NOK the best-ranked G10 currency in our cross-sectional TEAM model (see *Models* section).

Norges Bank and Riksbank reinforced the relative rates story. NOK struggled to benefit so much from the hike, as signalling was not quite as hawkish as rates markets expected and the terminal pricing came down slightly. However, we note that (1) our economists expect another hike in 1Q, taking the policy rate to 4.75%, and (2) the higher-for-longer message with continued risk of another hike is enough to support NOK going forward, in our view. It reinforces its yield advantage within G10 and the fact that this is not being eroded.

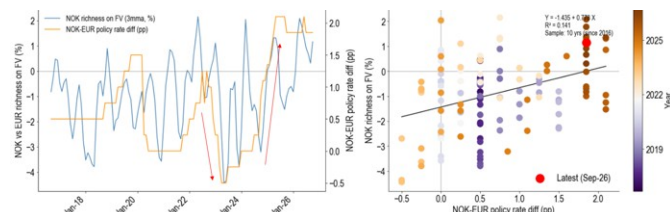
The **Riksbank** suggested multiple hikes ahead which, whilst less than markets had priced, still pushed a higher terminal and supported SEK on the kneejerk. But **we do not think the expected hikes change the big picture as it still remains a low-yielder in the global context and we remain comfortable holding shorts as the level of US yields implies SEK should be even weaker** (Figure 10). Forward guidance implies multiple hikes upcoming, and there too, our economists added another two hikes for 1H27, taking the policy rate to 2.5%. The key statement on this note was “*If the outlook for inflation and economic activity remains unchanged, it is expected that the increases to the policy rate will begin this year*”.

NOK/SEK has been tracking energy prices closely the past few months and looks fair to them even if it looks rich when adjusting also for forward rate differentials (given these have narrowed). **Valuation overshoots are reasonable in our view** given (1) NOK has previously traded rich when it was a high yielder and cheap when it was a low yielder (Figure 8), and (2) valuation mispricings across G10 are consistent with carry (see Figure 7 [here](#)). **If energy prices fall significantly, this would hurt the trade; however, carry provides some buffer to the downside, with NOK now less sensitive to energy price declines than back when it was a low yielder** (Figure 9). We thus keep the stop-loss wide to be able to ride through it (this would likely allow Brent to decline to ~\$80).

- **Buy NOK/SEK in cash. Spot ref. 1.0419. Stop loss 1.0050.**

Figure 8: Valuations are not a problem in our view: NOK has previously seen large mispricings when it was very low or very high-yielding

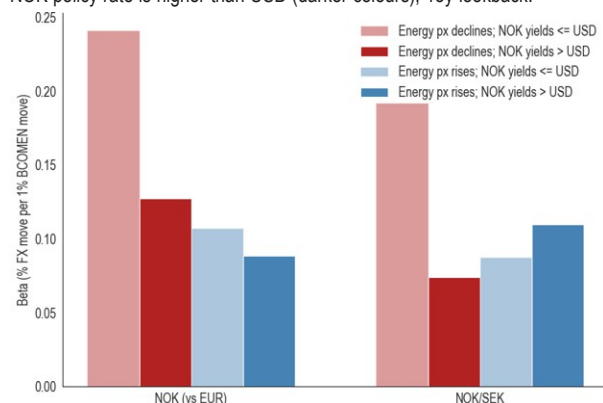
NOK vs EUR richness on short-term fair value model vs NOK-EUR policy rate differential



Source: J.P. Morgan

Figure 9: Now that it yields above the dollar, NOK is less sensitive to energy price declines than back when it was a low yielder

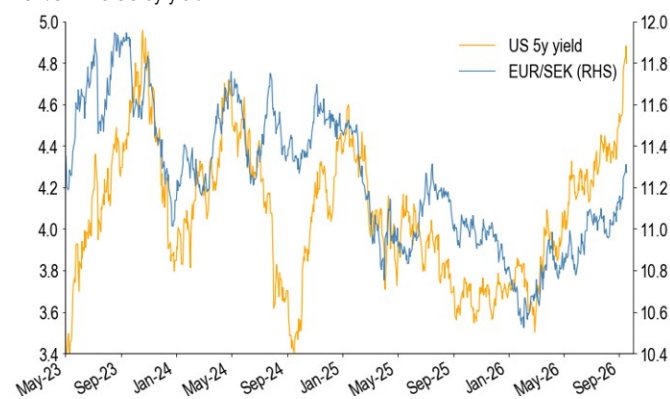
Beta of NOK/EUR and NOK/SEK to energy price declines and rises in regimes where (1) NOK policy rate is lower than or equal to USD's (lighter colours) and (2) NOK policy rate is higher than USD (darker colours); 15y lookback.



Source: Bloomberg Finance L.P., J.P. Morgan

Figure 10: EUR/SEK should be even higher based on the level of US yields

EUR/SEK vs US 5y yield



Source: J.P. Morgan, Bloomberg Finance L.P.

- Stay long GBP vs CHF, SEK

We maintain our GBP long vs lower yielders CHF and SEK, informed by the continued narrative of attractive carry and resilient growth which can keep it supported in the high-yield environment.

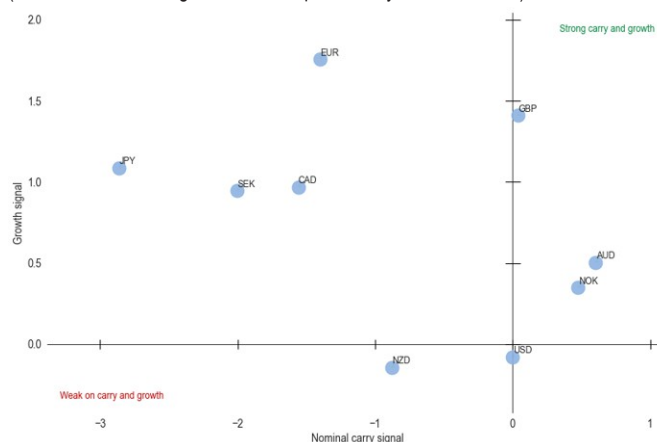
Across G10, sterling retains its position as strong on both carry and growth relative to European funders, in particular SEK (Figure 11), with a macro backdrop that is supportive. The mixed PMI (with a beat on manufacturing but miss on services) comes on what is otherwise data that is still beating expectations (see JPEASIUK Index). Our cross-sectional TEAM model is now thus long GBP, with the score improving in recent weeks. The fiscal story continues to take a backseat for now, allowing GBP to benefit from its relative strength in these areas; the Chancellor has shown a preference to not reveal any details until the budget, and so at the the Labour Party conference beginning this weekend, we do not expect much detail to be revealed.

Importantly, GBP also does not appear to demonstrate that it is being heavily positioned in. Our positioning monitors show that the market is not yet accumulating a long position in GBP ([JPM FX Positioning Monitor](#), Locke); it is thus also lagging the other G10 high yielders in positioning.

- Long GBP vs SEK and CHF 50:50 basket in cash. Spot refs 13.0982/1.1008. Stop loss -2.5%. Marked at +0.05%.

Figure 11: GBP longs continue to look good on carry and growth in G10

G10 signals from our FX Macro Quant systematic strategies (y-axis, growth FRI & x-axis, nominal carry)
 (CHF excluded as no growth forecast provided by our economists)



Source: J.P. Morgan

- Stay short CHF vs AUD, NOK, USD, HUF in cash

Our CHF basket initially struggled to start the week, which we attributed to lower ECB yields, some risk-off price

action, and perhaps position squaring ahead of the SNB. However, **the dovish SNB delivery relative to expectations helped the trade recover.** We maintain the trade as the macro backdrop of strong global and regional growth continues to screen supportive, whilst we remain mindful of short-CHF positioning.

The SNB encouraged CHF bears, acknowledging only a slight increase in inflationary pressures and no intention to hike for now given terminal inflation forecasts in the lower half of the target range, and despite rates markets that were pricing two over the next year already. The key line to us was that “medium-term inflationary pressure has increased *only slightly*”, which is slightly more hawkish language than the “virtually unchanged” pressures previously, but this is only a minor shift against the backdrop of high energy prices, a weaker currency and rates market pricing. The intervention language is dialled back to pre-March levels (still signalling willingness to intervene but not “increased” willingness), but this is likely an acknowledgement that the currency itself is weaker and they are thus less in alert, rather than a shift in stance on the currency that would suggest they are uncomfortable with weakness. The weaker franc is otherwise only mentioned in the context of the inflation and growth forecasts: the weaker franc and higher energy prices led to an increase in headline inflation forecasts, but these remain low, peaking at 1.2% oya near-term, but between 0.7%-0.9% from 2027 until the end of the horizon (which notably is conditional of policy rates at 0%). There is thus little need for the SNB to signal hikes for now with what they have in hand. The other notable mention of the franc is in the context of “monetary policy and the recent depreciation of the franc having a supportive effect on growth”, suggesting comfort with this depreciation rather than alarm. The press conference also expressed comfort with the inflation outlook and currency depreciation.

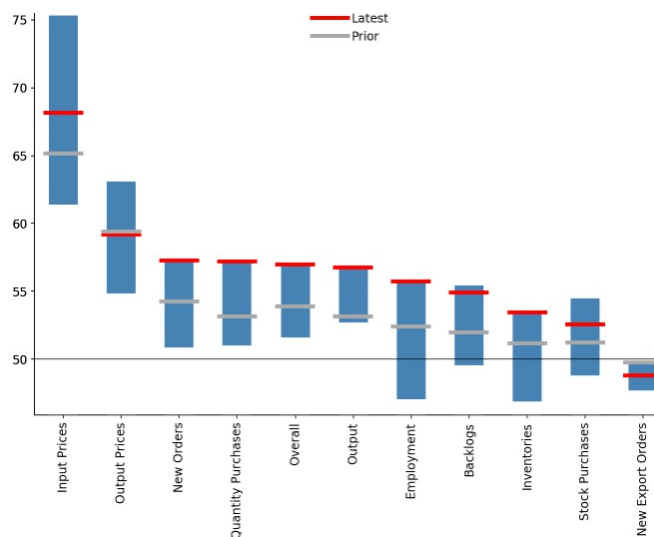
- **Hold short CHF vs AUD, NOK, USD, HUF cash basket. Spot refs. 0.5661/11.6341/ 0.8030 / 381.1770. Trailing stop at +2%. Marked at +2.75%.**
- **Hold long-USD cash basket vs SEK & CAD; tighten stop**

We viewed the risk-reward of holding long-dollars favorably into this week: a hawkish Fed repricing some of the curve, firm recent data, valuation support and second-half-September seasonality. Those were all in play this week, amplified by a renewed push in Brent, concerns over the RoW impact from a diesel ban, and finally - and probably most importantly - exceptionally firm US PMIs that started to show more of a chasm between US and RoW growth (Figure 12, Figure 13). Having just hiked, the question becomes whether and to what extent more US yield support can be found; US has narrowed

the gap vs G10 in the front-end, but October FOMC remains under-priced, and the risk (as we discussed in the Outlook last week) is that organic, cyclical US strength forces the market to contemplate a more serious hiking cycle. That will be tested next week, where early consensus looks for 100k/4.1%. While ADP might be a touch softer, the employment signals from PMIs and claims still strong (continuing making new multi-year lows) provides reason for optimism that the USD can benefit through and after payrolls into CPI. We continue to like running USD length vs low-yielders which stand to lose out the most on more rates repricing, while higher yielders continue to derive insulation from yield gaps. The biggest risk to the trade remains a shift lower in energy prices that sponsors mid-yielder relief.

- **Stay long USD vs 50:50 basket of SEK & CAD in cash. Spot refs 9.5525 / 1.3837. Tighten trailing stop to +1.25%. Marked at +3.06%.**

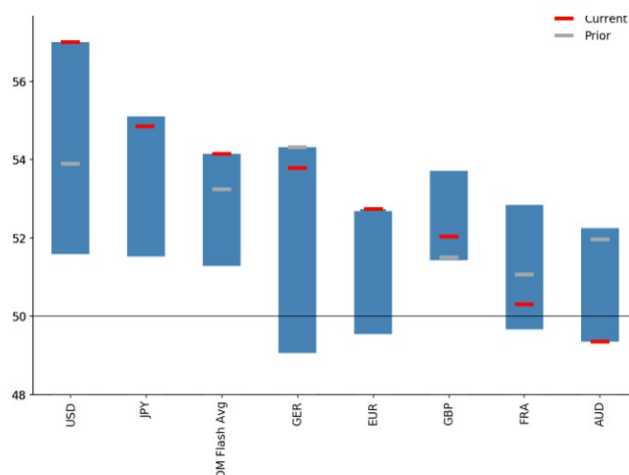
Figure 12: US manufacturing PMI indicators are almost all at YTD highs, which prompted USD buying on the back of higher yields



Source: J.P. Morgan, Haver

Figure 13: There is more of a gap now between US and G10 in the flash PMIs

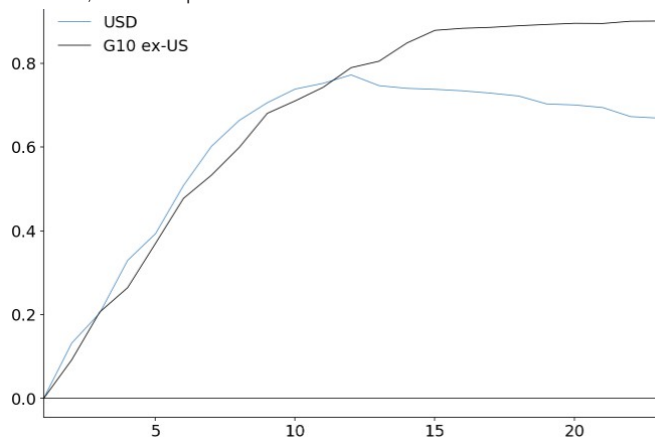
Flash manufacturing PMIs (and YTD range)



Source: J.P. Morgan, Haver

Figure 14: US strength belies a forward curve that remains below G10 average further out the money market curve

1m fwd OIS, cumulative prices



Source: J.P. Morgan

- **Hold short SEK/JPY in cash**

Our tactical short SEK/JPY position, initiated on 21 August, outperformed short USD/JPY amid persistent upward pressure from rising US yields — validating our strategic preference to express JPY strength through funder RV rather than the dollar. Following the September BoJ meeting, which failed to provide meaningful support for JPY, Nikkei reported that a rate check was subsequently conducted. USD/JPY briefly declined approximately one yen before retracing to pre-rate-check levels last Friday, driven by a broad USD rally this week. Should USD/JPY continue its advance toward the 160 handle — a level widely perceived as

a key policy alarm threshold — authorities may be compelled to intervene or implement additional policy measures.

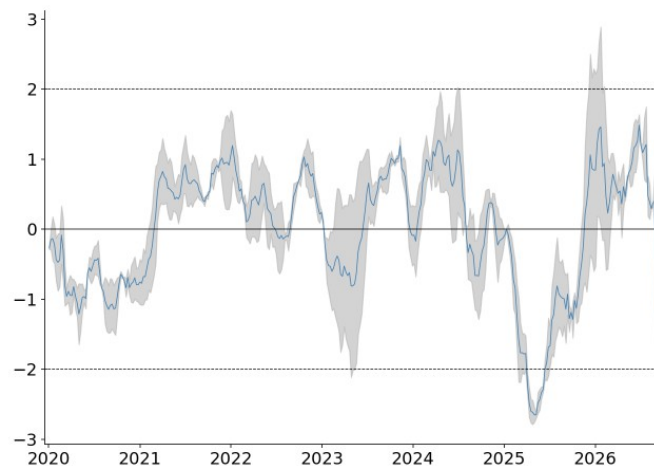
Indeed, that's what late-week news delivered, with a slew of reports indicating US and Japanese policy officials continue to cite concern over yen valuations. This is one of the prime reasons to hold the trade, including on the backup towards 160 in USD/JPY, as we perceive significant asymmetry in cross-JPY outcomes given a) the market's tendency to self-police around the 160 level, and b) ongoing policymaker discomfort with yen depreciation. The latter and the associated official rhetoric has driven +1% JPY outperformance to conclude the week, and validates our perception that the risk/reward calculus is positive. USD/JPY positioning has shifted markedly over the last six weeks (Figure 15), but policymaker decisions can still deliver positive pnl.

Beyond this trade, we also hold a JPY barbell structure in our *Derivatives* portfolio for any potential intervention ([note](#), Buy 3M 2% OTMS CHF/JPY put (1x notional) vs. Sell 3M 2% OTMS CHF/JPY Call (2x notional) vs. Buy 3M 2% OTMS USD/JPY call (1.3x notional) for 0.3 bps (spot refs. 188.8769, 154.3880).) On the weak JPY side, we have a long USD/JPY call (1.2x notional) vs. Short CHF/JPY call (1x notional), which makes money when yen weakens.

- **Sell SEK/JPY in cash. Spot ref. 16.7903. Take-profit stop +4.25%. Marked at +5.18%.**

Figure 15: The market has built up a solid USD/JPY short, but policymaker sensitivity improves the risk/reward of staying long JPY

Avg and range of USD/JPY positioning (futures and options) (z-score)



Source: J.P. Morgan, DTCC, CFTC, Bloomberg Finance L.P.

- **Hit trailing take-profit stop in short CAD/MXN in cash**

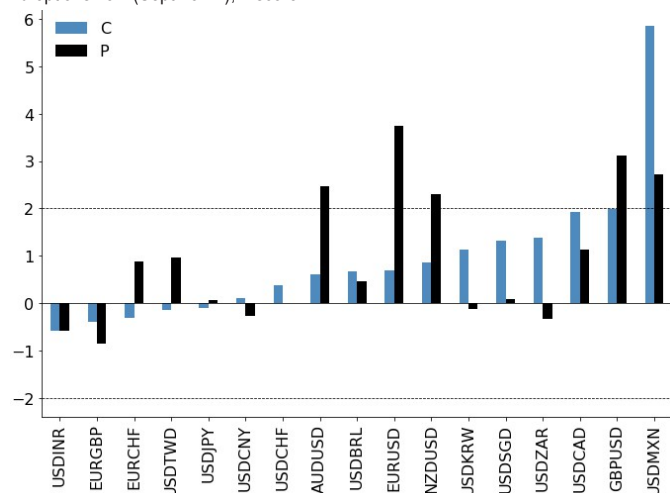
We were stopped out at a profit this week on our short-CAD/MXN recommendation, and turn tactically neutral.

We've held CAD/MXN as a strategic position since September 2025, capturing a strong carry backdrop and relative trade impacts. As we've known for some time, the trade is particularly exposed to strong-dollar deleveraging environments, which was delivered this week on the back of strong US data and the continuing rout in global fixed income. There was a Latam-specific component as well, with concerns about a potential US diesel export ban punitively squeezing Mexico and other regional peers. As such, it was not surprising to see the snap higher in USD/MXN, and the outsized topside demand on the back of that as MXN length more generally was unwound (Figure 16). CAD/MXN fortunately blunted some of that impact by virtue of the run-up in USD/CAD, but CAD still managed to outperform on crosses on the week, as it often does in strong-USD environments. As such, we move to the sidelines, having netted around 10% since inception - but will remain open-minded about re-initiating if vol calms down and turns conducive to DM-funded EM carry trades once again.

- **Stopped out of short CAD/MXN in cash at a profit. Spot ref. 12.5695. Take-profit stop+3%. Marked at +3%.**

Figure 16: USD/MXN saw the strongest deleveraging and hedging flows this week

2d options flow (Sept 23-24); z-score



Source: J.P. Morgan, DTCC, Bloomberg Finance L.P.

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Table 1: Current FX spot recommendations and P&L

Long	Short	Entry date	Entry level	Current level	Stop loss*	P&L since entry	Comments
NOK	SEK	25 Sep 26	1.0419	1.0419	1.0050	0.00%	Newtrade
MXN	CAD	17 Apr 26	12.5695	12.4410	+3%	3.00%	Hit take-profit trailing stop at +3%
JPY	SEK	21 Aug 26	16.7903	15.9069	+4.25%	5.18%	Hold
USD	SEK, CAD	4 Sep 26	9.5525 / 1.3837	9.9047 / 1.4141	+1.25%	3.06%	Hold; tighten take-profit stop to +1.25%
AUD, USD, HUF, NOK	CHF	19 Jun 26	0.5661 / 0.803 / 381.177 / 11.6341	0.582 / 0.8284 / 387.109 / 11.4762	+2%	2.75%	Hold
GBP	SEK, CHF	11 Sep 26	13.0982 / 1.1008	13.1297 / 1.0982	-2.50%	0.05%	Hold

Marked at 2:00pm BST. *Stop-loss / take-profit levels expressed in total return terms (accounting for carry) unless specified.

Source: J.P. Morgan.

Table 2: Current FX derivatives (directional/non-RV) recommendations and P&L

	Entry date	Expiry date	Days to expiry	Entry level	Current level	P&L since entry**	Comments
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** P&L in % of asset unless otherwise specified. Marked at 2:30pm BST.

Source: J.P. Morgan

Table 3: Performance Statistics

	2026	2025	2024	2023	2022	2021	2020	2019	2018	2017	2016	2015	2014	2013	2012	2011	2010	2009	2008	2008-2025 avg
I. Macro Trade Recommendations portfolio																				
Cash																				
# of trades	22	50	36	17	39	37	44	27	30	46	38	51	55	54	28	42	89	63	85	46
Success rate	82%	74%	67%	53%	67%	43%	43%	48%	60%	43%	55%	51%	56%	56%	61%	57%	53%	65%	59%	56%
Average return per trade (%)	1.68%	0.18%	0.00%	-0.62%	1.00%	-0.35%	0.29%	0.22%	-0.01%	-0.52%	0.37%	0.19%	-0.09%	0.47%	0.25%	0.03%	0.02%	0.97%	1.96%	0.24%
Average holding period (calendar days)	62	45	28	36	41	41	34	37	32	51	37	20	28	20	25	25	24	20	31	32
Derivatives (non-digital)																				
# of trades	8	11	13	21	17	9	5	17	13	16	26	27	30	32	33	27	27	21	3	19
Success rate	63%	45%	46%	38%	53%	33%	80%	41%	31%	44%	54%	48%	50%	31%	61%	74%	62%	62%	0.0%	47%
Average return per trade (%)	0.18%	-0.08%	0.00%	-0.38%	0.25%	-0.01%	0.34%	0.06%	-0.26%	-0.17%	0.40%	0.93%	0.02%	-0.13%	0.13%	0.94%	0.34%	0.55%	-0.57%	0.13%
Average holding period (calendar days)	57	90	64	59	51	42	62	51	47	62	52	66	46	65	58	71	54	59	66	59
Derivatives (Digital)																				
# of trades	5	1	4	4	7	1	3	2	2	2	11	3	2	3	5	10	4	21	5	5
Success rate	40%	0%	0%	0%	43%	0%	25%	0%	50%	0%	45%	33%	100%	67%	80%	50%	25%	38%	20%	32%
Average return per trade (%)	7%	-9%	-13%	-23%	-1%	-11%	-4%	-8%	-4%	-23%	-1%	5%	49%	25%	12%	-1%	-7%	5%	-4%	-1%
Average holding period (calendar days)	105	98	139	88	85	93	68	112	87	67	36	56	86	60	38	87	60	55	54	76
II. FX Derivatives portfolio (relative value)																				
Vol r.v																				
# of trades	16	24	23	24	30	26	27	16	25	34	52	58	51	36	41	37	45	32	13	33
Success rate	81%	67%	61%	58%	60%	62%	67%	38%	48%	59%	67%	60%	57%	58%	54%	62%	69%	63%	77%	60%
Average return per trade (%)	1.0	0.5	0.0	0.0	0.0	0.8	0.4	-0.5	-0.5	-0.1	0.1	0.2	0.0	0.3	0.1	0.1	0.7	0.1	0.3	0.1
Average holding period (calendar days)	56	63	73	77	50	58	65	69	81	63	62	56	80	73	81	47	99	73	53	68
Vol plus directional r.v																				
# of trades	7	9	5	7	5	3	6	13	7	15	6	15	9	3	11	14	4	-	-	8
Success rate	43%	67%	80%	71%	60%	67%	67%	54%	43%	60%	50%	60%	67%	33%	91%	79%	50%	-	-	62%
Average return per trade (bp)	-3	33	30	53	29	70	-7	6	-24	-13	-18	25	55	-182	37	16	-8	-	-	6
Average holding period (calendar days)	46	55	70	69	69	82	36	85	108	69	50	73	92	138	81	27	50	-	-	72
Digital																				
# of trades	7	4	11	7	1	4	3	2	1	1	10	2	2	6	6	2	-	-	3	4
Success rate	57%	100%	45%	29%	0%	50%	0%	50%	100%	0%	40%	0%	50%	33%	50%	50%	-	-	33%	39%
Average return per trade (%)	6%	27%	-3%	-4%	-10%	20%	-18%	15%	9%	-7%	11%	-14%	-6%	-7%	-7%	-13%	-	-	8%	0%
Average holding period (calendar days)	58	67	74	97	29	47	75	34	49	157	37	94	59	92	51	25	-	-	33	64

*P&L in vol points. Source: J.P. Morgan

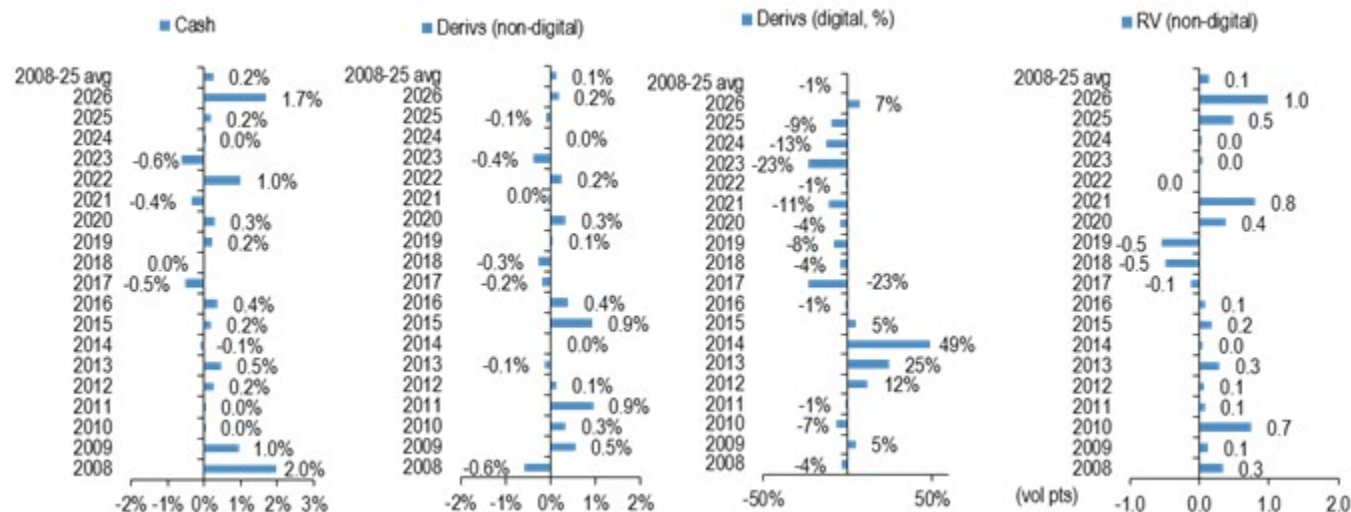
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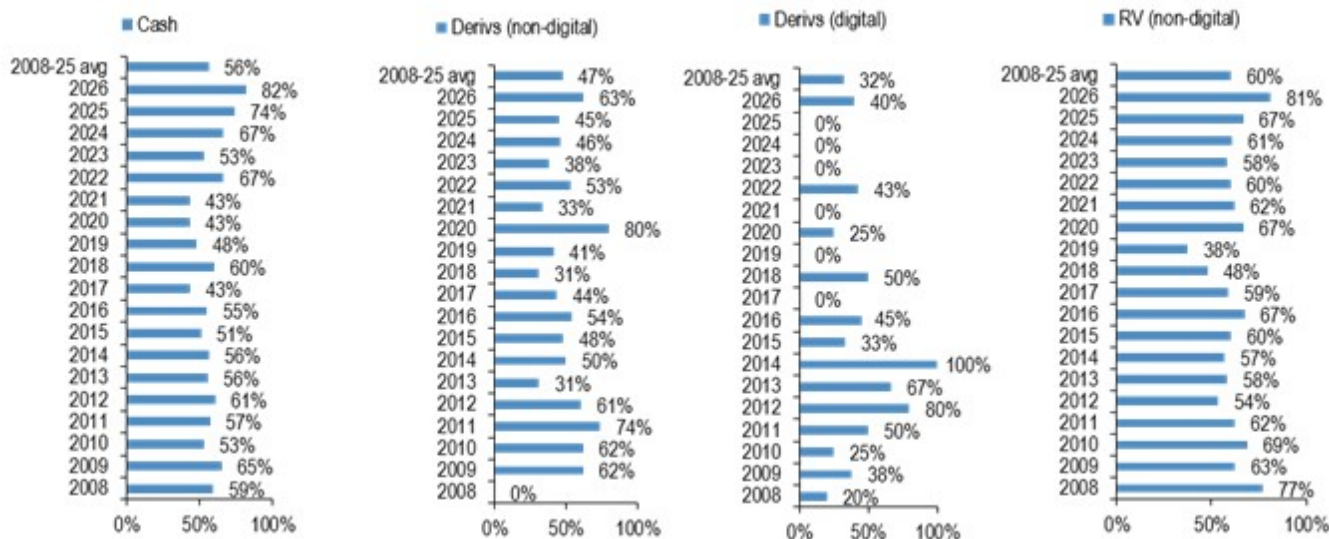
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Performance summary: Average Returns Per Trade



Source: J.P. Morgan

Performance summary: Success rate by type of trade



Source: J.P. Morgan

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II. Trades closed over the past 12 months

Macro Trade Recommendations portfolio

Cash

Long	Short	Entry date	Entry level	Exit date	Exit level	P&L
SEK	CHF	12 Dec 25	11.6780	16 Jan 26	11.5121	1.6%
EUR, AUD	JPY	9 Jan 26	183.72 / 105.465	23 Jan 26	184.02 / 107.28	1.0%
SEK	EUR	14 Nov 25	10.9678	27 Feb 26	10.6824	2.5%
GBP, SEK	CZK	30 Jan 26	28.0832 / 2.3095	27 Feb 26	27.6446 / 2.2691	-1.7%
EUR	USD	6 Feb 26	1.1812	2 Mar 26	1.1768	-0.9%
AUD	USD	19 Sep 25	0.6592	3 Mar 26	0.7040	7.0%
MXN	CAD	14 Nov 25	13.0862	3 Mar 26	12.7700	3.9%
NOK, AUD	CAD	11 Sep 25	7.1296 / 0.9210	3 Mar 26	7.0597 / 0.9646	3.7%
NOK, CHF, SEK	USD, JPY	14 Nov 25	100.0000	3 Mar 26	103.5000	3.5%
AUD	EUR	19 Jan 26	1.7347	23 Mar 26	1.6549	5.0%
AUD, NOK	SEK	6 Feb 26	6.3173 / 0.9295	23 Mar 26	6.5597 / 0.9615	4.0%
AUD	SEK, GBP	27 Mar 26	6.4954 / 1.9323	8 Apr 26	6.5129 / 1.9066	0.9%
USD	EUR, SEK, GBP, NZD	13 Mar 26	1.1455 / 9.3841 / 1.3252 / 0.5816	8 Apr 26	1.1692 / 9.2365 / 1.3445 / 0.5839	-1.3%
GBP	SEK	23 Apr 26	12.4507	7 May 26	12.5497	0.9%
AUD, NOK	CAD	17 Apr 26	0.9855 / 6.8567	15 May 26	0.9854 / 6.7775	0.7%
NOK	CHF, JPY	17 Apr 26	12.0314 / 16.8837	9 Jun 26	11.9182 / 16.8762	1.0%
AUD	EUR	8 Apr 26	1.6571	9 Jun 26	1.6417	1.0%
NOK	CHF, JPY	12 Jun 26	11.9548 / 16.8310	29 Jun 26	12.2482 / 16.3221	-2.5%
GBP	SEK, CHF, EUR	19 Jun 26	12.733 / 1.0713 / 0.8634	21 Jul 26	12.9771 / 1.0876 / 0.85069	1.9%
AUD	SEK	19 Jun 26	6.7150	29 Jul 26	6.7452	0.8%
EUR	SEK	5 Jun 26	10.8966	30 Jul 26	11.0096	1.0%
MXN	CAD	17 Apr 26	12.5695	24 Sep 26	12.4410	3.0%

Long	Short	Entry date	Entry level	Exit date	Exit level	P&L
JPY	EUR	14 Nov 24	164.6200	20 Jan 25	161.3276	1.6%
JPY	CHF	26 Nov 24	173.9440	20 Jan 25	171.3348	1.5%
NOK	PLN	26 Nov 24	2.7020	23 Jan 25	2.7831	-3.2%
USD	EUR	06 Nov 24	1.0781	24 Jan 25	1.0475	3.2%
CHF	EUR	06 Nov 24	0.9418	24 Jan 25	0.9510	-1.5%
JPY	CAD	10 Jan 25	109.8450	24 Jan 25	108.7430	0.9%
SEK	EUR	26 Nov 24	11.5323	24 Jan 25	11.4595	0.6%
AUD	CAD	24 Jan 25	0.9049	02 Feb 25	0.9078	0.4%
USD, JPY	CAD	02 Feb 25	1.4744 / 105.174	04 Feb 25	1.4375 / 107.851	-2.5%
SEK	EUR	24 Jan 25	11.4614	14 Feb 25	11.2323	0.6%
SEK	GBP	10 Jan 25	13.7365	14 Feb 25	13.4858	0.8%
JPY	EUR	31 Jan 25	160.9700	14 Feb 25	159.5805	0.3%
CHF	EUR	02 Feb 25	0.9379	14 Feb 25	0.9441	-0.7%
USD	EUR, GBP	02 Feb 25	1.0249 / 1.2240	14 Feb 25	1.0478 / 1.2581	-2.4%
JPY	NZD	31 Jan 25	87.5050	21 Feb 25	85.7220	0.9%
SEK	GBP	10 Jan 25	13.7365	21 Feb 25	13.4471	0.9%
SEK	EUR	24 Jan 25	11.4614	28 Feb 25	11.1502	0.7%
JPY	CHF	31 Jan 25	170.4860	05 Mar 25	168.0000	0.2%
NOK, AUD	USD	07 Mar 25	10.8479 / 0.6299	25 Mar 25	10.5053 / 0.63	1.6%
SEK	USD	05 Mar 25	10.2550	25 Mar 25	10.0506	0.9%
EUR	USD	05 Mar 25	1.0758	28 Mar 25	1.0824	0.2%
SEK	EUR	07 Mar 25	10.9264	28 Mar 25	10.8262	0.5%
DXY components	USD	05 Mar 25	104.5600	28 Mar 25	104.0400	0.4%
NOK	EUR	07 Mar 25	11.7579	03 Apr 25	11.3964	1.3%
AUD	EUR	28 Mar 25	1.7201	03 Apr 25	1.7426	-1.3%
JPY	CHF	07 Mar 25	167.7000	10 Apr 25	173.5695	-3.5%
EUR	GBP	04 Apr 25	0.8477	25 Apr 25	0.8566	1.0%
JPY	NZD, USD	28 Feb 25	4.3590 / 150.650	25 Apr 25	85.716 / 143.75	1.3%
NOK	SEK	02 May 25	0.9261	09 May 25	0.9383	1.4%
JPY	EUR	28 Mar 25	162.4800	09 May 25	163.5800	-0.9%
JPY	CHF	02 May 25	174.9530	20 May 25	174.1600	0.5%
AUD	NZD	02 May 25	1.0825	30 May 25	1.0776	-0.4%
NOK	CAD	30 May 25	7.4290	13 Jun 25	7.3023	1.8%
NOK, SEK	EUR	23 Apr 25	11.8130 / 10.9110	20 Jun 25	11.3964 / 10.8262	1.0%
AUD, NZD	USD	02 May 25	0.6444 / 0.6017	28 Jul 25	0.6559 / 0.601	0.4%
JPY	USD	02 May 25	144.5500	30 Jul 25	149.6093	-4.5%
NOK	CAD	27 Jun 25	7.3956	15 Aug 25	7.3739	0.5%
NZD	SEK	15 Aug 25	5.6642	21 Aug 25	5.5831	-1.4%
JPY	USD	01 Aug 25	148.1500	05 Sep 25	146.9500	0.5%
JPY	NZD	26 Sep 25	86.2380	09 Oct 25	88.3940	-2.6%
NOK, SEK	GBP	23 Apr 25	13.8000 / 12.7560	14 Oct 25	13.3959 / 12.5542	0.8%
CHF	EUR	26 Sep 25	0.9332	24 Oct 25	0.9247	1.3%
MXN	CAD	11 Sep 25	13.3970	27 Oct 25	13.1771	2.3%
NOK, SEK	EUR	20 Jun 25	11.6523 / 11.1472	04 Nov 25	11.7328 / 10.9655	1.0%
EUR	GBP	01 Aug 25	0.8710	06 Nov 25	0.8791	0.4%
NOK, CHF, SEK, USD, JPY, GBP		05 Sep 25	100.0000	06 Nov 25	101.0000	1.0%
NOK, SEK	GBP	17 Oct 25	13.5248 / 12.6980	06 Nov 25	13.3940 / 12.5722	1.0%
CHF	GBP	11 Jul 25	1.0762	06 Nov 25	1.0590	0.0%
EUR	USD	11 Apr 25	1.1341	14 Nov 25	1.1619	1.3%
SEK	GBP	14 Nov 25	12.4170	25 Nov 25	12.5184	-0.9%

Derivatives (non-digital)

Non-Digital Options	Entry date	Entry level	Exit date	Exit level	P&L (%)
Buy 3m EUR/GBP put spread. K = 0.88 / 0.8680. Spot ref. 0.8808. Cost 46.10bps.	25 Nov 25	0.48%	07 Jan 26	0.96%	0.5%
Buy 2m EUR/USD call spread. K = 1.17 / 1.1560. Spot ref. 1.1619. Cost 57.50bps.	14 Nov 25	0.58%	16 Jan 26	0.00%	-0.6%
Buy 3m EUR/USD call spread. K = 1.17 / 1.16. Spot ref. 1.1603. Cost 50.50bps.	16 Jan 26	0.51%	27 Jan 26	1.13%	0.6%
Buy 4m EUR/NOK put spread. K = 11.75 / 11.55. Spot ref. 11.7901. Cost 59bps.	25 Nov 25	0.59%	29 Jan 26	1.27%	0.7%
Buy 4m GBP/CHF, AUD/CHF, SEK/CHF worst-of call, 1% OTM strikes. Cost 28bps.	25 Nov 25	0.28%	24 Mar 26	0.00%	-0.3%
Buy 3m 40x20x USD/CAD call spread (K=1.3782 / 1.3982). Spot ref. 1.3795. Cost 38bps.	15 May 26	0.38%	12 Jun 26	0.83%	0.5%
Buy 14-Aug EUR/USD put spread. K = 1.165011.4. Spot ref. 1.1669. Cost 58bps.	15 May 26	0.58%	19 Jun 26	1.12%	0.5%
Buy NOK/SEK 3m call spread. K = 1.011/1.03. Spot ref. 1.0004. Cost 52bps.	08 May 26	0.52%	10 Aug 26	0.00%	-0.5%
Non-Digital Options	Entry date	Entry level	Exit date	Exit level	P&L (%)
Buy NOK/SEK 3m call spread. K = 1.00 / 1.0250. Spot ref. 0.9898. Cost 47.50bps.	26 Nov 24	0.48%	24 Jan 25	0.04%	-0.4%
Buy EUR/JPY 3m put spread. K = 160 / 156. Spot ref. 161.88. Cost 84bps.	03 Jan 25	0.84%	21 Feb 25	1.68%	0.8%
Buy EUR/NOK 6m put spread. K = 11.75 / 11.40. Spot ref. 11.8483. Cost 83bps.	25 Oct 24	0.82%	21 Feb 25	0.83%	0.0%
Buy GBP/NOK 3m put spread. K = 13.80 / 13.50. Spot ref. 13.9435. Cost 97.50bps.	26 Nov 24	0.68%	28 Feb 25	0.80%	-0.7%
Buy EUR/USD 4m put spread. K = 1.06 / 1.02. Spot ref. 1.0530. Cost 77bps.	15 Nov 24	0.77%	28 Feb 25	1.03%	0.3%
Hold CAD/JPY 6m vanilla put. K = 102.97. Spot ref. 105.20. Net cost 159bps.	10 Sep 24	1.59%	10 Mar 25	1.03%	-0.6%
Buy EUR/SEK 3m put spread. K = 11.15 / 10.90. Spot ref. 11.1569. Cost 80bps.	28 Feb 25	0.80%	28 Mar 25	1.77%	1.0%
Buy EUR/USD 3m call spread. K = 1.0911.2. Spot ref. 1.0825. Cost 89.2 bps.	28 Mar 25	0.89%	23 Apr 25	2.11%	1.2%
Buy EUR/JPY 2m put spread. K = 155 / 151.50. Spot ref. 156.70. Cost 72bps.	28 Feb 25	0.72%	01 May 25	0.00%	-0.7%
Buy EUR/SEK 3m put spread. K = 10.75/10.55. Spot ref. 10.8250. Cost 59.50bps.	28 Mar 25	0.60%	26 Jun 25	0.00%	-0.6%
Hold 6m USD/CAD vanilla put. K = 1.3590. Spot ref. 1.3655. Net cost 123bps.	27 Jun 25	1.23%	24 Dec 25	0.00%	-1.2%

Derivatives (digital)

Digital Options	Entry date	Entry level	Exit date	Exit level	P&L (%)
Buy 3m EUR/USD > 101.5% ATMS & LUK > 105% ATMS dual digital. Cost 15.5% GBP offer.	25 Nov 25	15.0%	16 Jan 26	52.0%	37.0%
Buy 1m NOK/JPY at-expiry digital call. K = 16.20. Spot ref. 15.33. Cost 17.8%.	25 Nov 25	17.8%	13 Mar 26	60.8%	43.0%
Buy 2m EUR/USD at-expiry digital call. K = 1.2350. Spot ref. 1.1940. Cost 15.2%.	27 Jan 26	15.2%	26 Mar 26	0.0%	-15.2%
Buy 4m CHF/SEK at-expiry digital call. K = 11.30. Spot ref. 11.8242. Cost 11.2%.	25 Nov 25	11.2%	27 Mar 26	0.0%	-11.2%
Buy 6m USD/JPY one-touch digital call. K = 170. Spot ref. 156.7695. Cost 16.6%.	25 Nov 25	16.6%	27 May 26	0.0%	-16.6%

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Global Markets Strategy
FX Markets Weekly
25 September 2026

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Digital Options	Entry date	Entry level	Exit date	Exit level	P&L (%)
Buy 3M EUR/GBP 0.8550 /EUR/CHF 0.99 topside dual digital, Cost 9.42%	14 Mar 25	9.5%	20 Jun 25	0.0%	-9.5%

FX Derivatives portfolio (relative value)

Vol r.v.

Trade	Entry date	Entry level	Exit date	Exit level	P&L (vol)
Buy a 3M EUR/MXN atm/25d ratio call spread 1*1.5 vega notional	24 Nov 25	-5.8	23 Jan 26	-4.9	0.9
Buy a 3M USD/CNH atm/25d ratio put spread, 1*2 vega notional	24 Nov 25	-3.4	23 Jan 26	-2.6	0.8
Buy 6M delta-hedged USD/CHF 25d risk-reversals	16 Jan 26	0.9	30 Jan 26	2.9	1.9
Buy a 1M3M FVA in AUD/USD	24 Nov 25	9.1	30 Jan 26	10.0	0.9
Sell 3M USD/SEK via GBP correlation	24 Nov 25	-2.0	24 Feb 26	-2.4	0.4
Buy delta-hedged 4M USD/BRL atm/25 delta 1*1.5 ratio call spread	23 Jan 26	8.6	27 Mar 26	8.8	0.2
Sell 4M EUR/BRL delta-hedged straddle	27 Mar 26	13.7	17 Apr 26	11.3	2.3
Sell 3M delta-hedged CHF/JPY 25d risk-reversals	30 Jan 26	0.5	24 Apr 26	0.7	-0.2
Sell 3M GBP/CHF-GBP/USD correlation	20 Feb 26	-0.4	24 Apr 26	-1.4	1.0
Long 2M USD/ZAR vs. short USD/BRL ATM straddle spread, delta-hedged.	24 Apr 26	0.7	05 Jun 26	0.4	-0.3
Sell 2M delta-hedged EUR/USD 25 delta risk reversals.	10 Apr 26	0.4	05 Jun 26	-0.4	0.8
Sell 3M EUR/USD vs. EUR/SEK correlation swap.	20 Mar 26	-1.8	05 Jun 26	-2.8	1.0
Sell skew via long 3M delta-hedged USD/MXN ATM/25 delta 1*1.5 (vega) ratio call spread.	17 Apr 26	7.3	05 Jun 26	5.3	2.0
Buy delta-hedged 3M EUR/MXN ATM/25d 1*2 vega-neutral ratio call spreads	19 Jun 26	9.4	07 Aug 26	12.1	2.7
Buy 3M NZD/USD vol, financed by selling EUR/NZD vol	19 Jun 26	2.7	21 Aug 26	2.2	-0.4
Buy delta-hedged 3M USD/MXN ATM/25d 1*2 vega-neutral ratio call spreads.	07 Aug 26	10.9	18 Sep 26	9.2	1.7

Trade	Entry date	Entry level	Exit date	Exit level	P&L (vol)
Buy delta-hedged 2M CAD/JPY atm straddle vs sell USD/CAD straddle, in equal vega	06 Feb 25	3.7	27 Feb 25	4.1	0.3
Sell a 6M USD/CNH vs. EUR/CNH correlation swap	14 Aug 24	36.9	21 Feb 25	10.0	2.0
Sell 2M vs buy 4M AUD/JPY straddle calendar, delta-hedged	23 Jan 25	-0.2	28 Feb 25	-0.3	0.1
Buy 3M CAD/JPY ATM straddles vs sell 3M CHF/JPY ATM straddles, in equal	28 Feb 25	2.0	21 Mar 25	3.2	1.2
Buy 6M 25D USD/CHF risk-reversals, delta-hedged	28 Feb 25	0.6	04 Apr 25	3.1	2.5
Buy 4M EUR/USD vs sell EUR/PLN atm delta-hedged straddles	07 Mar 25	2.0	04 Apr 25	2.7	0.7
Buy 3M ATM EUR/CHF via USD Correlation Swap	20 Feb 25	73.0	04 Apr 25	73.4	0.0
Sell 3M ATM EUR/USD via GBP Correlation Swap	29 Jan 25	43.0	04 Apr 25	13.3	2.2
Buy 1Y AUD/USD straddle and buy 1Y USD/CNH straddles vs Sell 1Y USD/SGD straddles in 50:50:175 vega ratios, delta-hedging	04 Apr 25	-1.4	25 Apr 25	-2.2	-0.8
Sell USD/TWD 6M 25D risk-reversals, delta-hedged	04 Apr 25	0.2	02 May 25	5.4	5.2
Sell 2M vs buy 6M USD/TWD calendar spreads.Delta-hedged.	25 Apr 25	0.4	02 May 25	-2.1	-2.5
Sell 3M EUR/USD corr via SGD	20 Mar 25	-17.0	25 Apr 25	-32.6	0.9
Sell 6M 25D EUR calls/BRL puts,delta-hedged	24 Apr 25	16.2	16 May 25	14.8	1.4
Sold 3M 25d EUR/HUF Strangles. Keep delta-hedged.	01 May 25	7.1	30 May 25	5.8	1.3
USD/CAD 6MM FVA	22 Jan 25	6.3	25 Jul 25	5.5	-0.8
3M Delta-hedged USD/JPY atm/25d 1*1.5 ratio put spread	27 Jun 25	-6.2	01 Aug 25	-5.5	0.7
Buy 2M USD/SEK ATM vol vs sell EUR/SEK ATM vol	13 Jun 25	4.2	01 Aug 25	2.7	-1.5
Initiate a -2M/-6M ATM vol calendar in USD/KRW	30 May 25	0.2	01 Aug 25	0.2	0.0
Open long AUD/USD 2M2M FVAs	01 Aug 25	9.5	03 Oct 25	8.3	-1.2
Buy USD/MXN 1y6m vs 6m6m 2*1 vega notional	22 Aug 25	12.5	14 Nov 25	12.9	0.4
Buy 3M GBP/SEK 25d Risk Reversal	05 Sep 25	0.4	14 Nov 25	-0.3	-0.7
Buy 1Y USD/SEK vs short 1Y EUR/USD straddle, equal vega, delta-hedged	23 Apr 25	3.4	14 Nov 25	2.9	-0.5
Sell 3M EUR/CNH - USD/CNH corr swap, Buy USD/CNH 1Y3M FVA	05 Sep 25	-5.2	05 Dec 25	-5.5	0.2
Sell 3M USD/MXN vs. EUR/MXN correlation swap	19 Sep 25	2.8	19 Dec 25	2.5	0.3

Vol plus directional r.v.

Vol plus directional r.v.	Entry date	Entry level	Exit date	Exit level	P&L	Units
Buy 2M USD/SEK 3d strike call vs. sell USD/CHF 43 delta call in a zero-cost format.	16 Jan 25	9	30 Jan 25	9		bps
Buy a 3M CNH/NR ERRO put 12.7 strike with a down and out barrier at 12.3	24 Nov 25	46	30 Jan 26	0	-46	bps
Buy 2M USD/SEK in + 8.9k, 1% OTM call vs. sell USD/CHF in + 9.76k, ATM call in a zero-cost format.	30 Jan 26	-2	08 Feb 26	41	48	bps
Buy zero-cost 3M USD/JPY ATM - 1% OTM vs. CHF/JPY ATM - 0.5% OTM put spreads	06 Feb 25	0	08 Apr 26	-91	-91	bps
Buy 2M 30D USD call/SEK put vs. Sell 2M 30D USD call/CHF put, here in 100:150 notional for zero cost.	27 Feb 26	0	29 Apr 26	-112	-112	bps
Buy 3M 2% OTM CHF/JPY calls vs. sell 3M 2% EUR puts/SEK calls	19 Jun 25	3	18 Sep 26	0	-3	bps
Buy 3M 2% OTM CHF/JPY put (1x notional) vs. Sell 3M 2% OTM CHF/JPY call (2x notional) vs. Buy 3M 2% OTM USD/JPY call (1.7x notional)	04 Sep 26	0	25 Sep 26	175	175	bps

Vol plus directional r.v.	Entry date	Entry level	Exit date	Exit level	P&L	Units
Buy 1Y 1% OTM EUR puts /USD calls vs. Sell 4.5% OTM EUR puts/TWD calls	26 Nov 24	0	17 Jan 25	112	112	bp
2M USD/CAD 1471160151 Call Fly 1*2*1	20 Dec 24	23	21 Feb 25	0	-23	bp
48d 1% OTM strike USD calls vs [CNH/NR/NR/TWD] vs. sell 48d 2% OTM strike USD/JPY calls	26 Nov 24	0	21 Feb 25	71	71	bp
48d ATMBS Basket of AUD/USD call and USD/SGD puts vs sell a basket of USD/CNH puts and USD/TWD puts	24 Jan 25	0	21 Feb 25	79	79	bp
Weighted basket of 3m USD/SEK 40d put and USD/HUF 40d put vs sell EUR/USD 45d call in 100:125 and 100:145 notional respectively	21 Feb 25	0	28 Mar 25	48	48	bps
Sell GBP/CHF corr via EUR	25 Apr 25	13	27 Jun 25	0	13	corr/yr
3M CNH/NR ERRO put ATM strike with a down and out barrier	27 Jan 25	51	29 Aug 25	0	-51	bps
Buy 3M OTM USD puts/HUF call vs. sell 3M OTM USD puts/PLN call	27 Jun 25	0	05 Sep 25	92	92	bps
Buy 3M 2% OTM AUD calls/JPY puts vs. Sell 3M 2% OTM USD calls/JPY puts	19 Sep 25	0	24 Oct 25	-46	-46	bps

Digital r.v.

Digital Options	Entry date	Entry level	Exit date	Exit level	P&L (%)
Sell 3M 4.33 strike EUR call /PLN put one-touches	24 Nov 25	30	23 Jan 26	4	26
Buy a 3M [EUR/CHF > 100.5% AMTS & SXSE > 105% ATMS] dual	24 Nov 25	15	20 Feb 26	0	-15
Buy USD/KRW 10-wk 1400 - 1480 DNT	27 Feb 26	21	03 Mar 26	0	-21
Sell 1M vs. buy 2M 180 strike EUR put/JPY call one-touch calendar spread	27 Feb 26	17	27 Mar 26	33	16
Sell 4M 8.35 strike EUR call/CNH put one-touch	27 Feb 26	28	08 Apr 26	9	19
Sell 4M EUR/ZAR 19.90 call one-touch.	27 Feb 26	40	05 Jun 26	11	28
Buy 3M USD/CAD 1.45 digi call.	19 Jun 26	11	18 Sep 26	0	-11

Digital Options	Entry date	Entry level	Exit date	Exit level	P&L (%)
Buy Dual Digi 3M USD/JPY call 2% TMS and JPY/NRW call 2%	26 Nov 26	14	17 Jan 25	44	30
Open EUR/ZAR 3M 20 - 21.5 DNT	01 Aug 25	17	03 Oct 25	48	31
Sell 4M EUR/BRL 6.80 one-touch call	22 Aug 25	44	24 Oct 25	17	27
Sell 6M 410 strike EUR call HUF put one touch	19 Sep 25	38	19 Dec 25	18	20

Emerging Markets FX

- **EM FX:** We remain OW EM FX primarily via Latam and EMEA EM high yielders but note increased uncertainty amid higher energy prices and US real yields. Latam is most directly impacted by the potential US diesel export ban, but we believe this may already be well priced. We stay MW Asia FX (via OW CNH and UW THB)
- **EMEA EM:** We recommend being nimble but hold our regional OW via OWs in high absolute carry (HUF, TRY) even with incremental staglatory risks, albeit having increased the size of our EURUSD hedge via UW RSD on [September 9](#). We added [tactically short ZARHUF](#) last Friday to reflect relative diesel exposure and likely hawkish NBH under a new, lower inflation target. In zloty we are tactically long via 23-Nov-26 EURPLN puts and structurally OW CZK, both with significant deviation to our FV models. In ILS, we hold USDILS 1x1.5 put spreads expiring before the election and note greater uncertainty reflected in polls. Sharp repricing in EUR- RON implied yields appears acute for now ahead of PM parliamentary vote next week.
- **LatAm:** We are maintaining our overweight in COP and MXN while keeping BRL at market-weight. We are MW CLP and PEN.
- **EM Asia:** We stay MW Asia FX (via OW CNH and UW THB) given hawkish developments supporting the USD and remain constructive on TWD and INR where portfolio flows and policy support remain tailwinds.

EM FX - Under pressure

EM FX came under considerable pressure this week, with carry currencies showing greater volatility than in recent months. Latam currencies led the losses this week with COP selling off over 5% vs. the USD, followed by MXN and PEN. Vulnerabilities to a potential US diesel ban contributed to this performance (see **Figure 8** in the **Outlook** section) and we analyze this factor in detail. However, it is clear that in some cases, the market reaction simply reflected positioning unwinds amid global portfolio pressures rather than underlying vulnerabilities (COP).

We remain OW EM FX primarily via Latam and EMEA EM high yielders (COP, MXN, TRY, HUF and BRL in options). Our bias is that currently both the potential US diesel export ban and overall energy risks are overpriced with Brent crude prices overshooting our commodity team's forecasts and data showing increasing flows through the Strait of Hormuz. Amid a still strong cyclical outlook, EM carry is

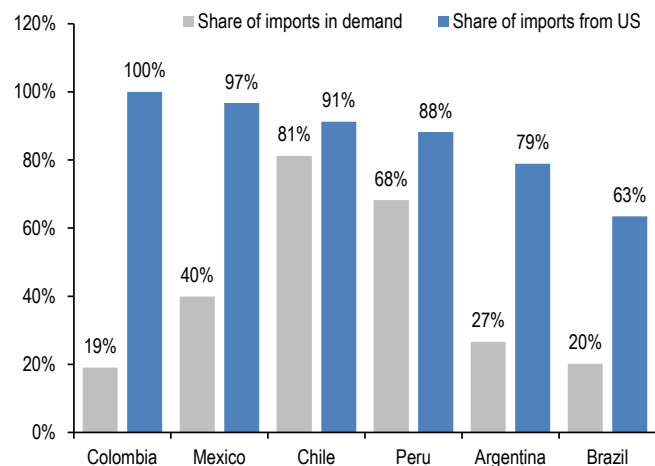
more likely to recover in our view. Shades of US exceptionalism are the highest risk to our base case constructive outlook, but we continue see the overall global backdrop as pro-cyclical outside the US too and hence conducive to high yield out-performance. Some of the lower yielders in our portfolio (OW CZK, option exposure in PLN and ILS) are most vulnerable. It now appears likely that our option longs in PLN and ILS may expire out of the money (see more detail below).

Latam currencies are most directly impacted by the potential US diesel export ban, but this may already be well priced. Latam economies show the highest import shares from the US, with also little storage levels. This makes them the most vulnerable to any immediate shortages and disruption if the export ban comes into force. Yet, we would emphasize that product markets are global and experiences since the Middle East tensions have pointed at a large overall global adaptability and flexibility in adapting contracts and suppliers quickly. We thus believe direct exposure to imports from the US matters only in the very short term and may already be more than accurately captured by Latam FX this week.

We believe overall net product imports regardless of the supplier are the better metric, as any US diesel export ban is likely to propagate to global prices. For EM FX, net product imports on the BoP capture overall FX vulnerabilities the best. Countries without domestic refining capacity are likely to be most exposed to product price premia over crude prices. This highlights how EM vulnerabilities extend beyond Latam with ZAR and PHP high on the list - ZAR's vulnerability to product imports has been one motivation for our recent RV recommendation to short ZAR vs. HUF (see below). While BoP impact is clear, the inflation and growth impact can be smoothed by fiscal interventions. Additionally, countries with domestic refining capacity may be able to push down the cost of containing prices to refiners.

Figure 1: Latam FX has highest US import shares in total diesel consumption

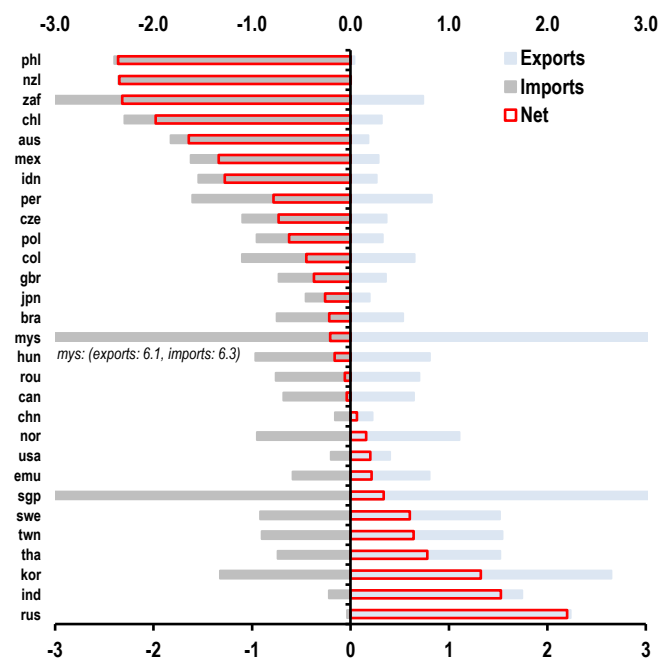
Diesel imports as a share of diesel demand, and share of diesel imports coming from US; %, as of summer 2026 average



Source: J.P. Morgan, Kpler, S&P Platts

Figure 2: Refined oil products trade balance

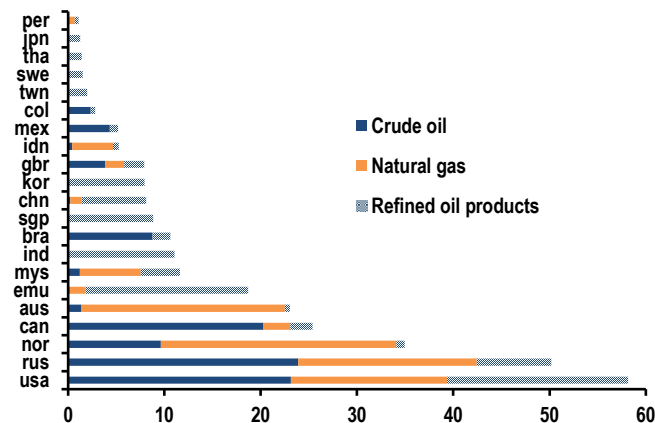
% of GDP (2024)



Source: UN Comtrade, ITC Trade Map. Refined oil prod. is HS 2710.12-19-20.
This analysis is produced by J.P. Morgan Economics Research, please see their Energy Shock Monitor [here](#).

Figure 3: Global energy exports by product

% of global* exports of each product



Source: UN Comtrade, ITC Trade Map. Crude oil is HS 270900, Natural gas is HS 2711.11-21, Refined oil products is HS 2710.12-19-20. EMU excludes intra-union trade.

This analysis is produced by J.P. Morgan Economics Research, please see their Energy Shock Monitor [here](#).

*Sum of country exports in our sample.

EMEA EM FX: Hold the handrail, stand to the right

We acknowledge the rising risks but stick to our OW EMEA EM posture. Last week we highlighted that the outlook for EM FX was increasingly binary given the “reflation” theme we have been advocating since the start of the US/Iran conflict was nearly priced to perfection (see [here](#)). We identified two risk scenarios “goldilocks” (if inflation risks subside) and “stagflation” (if EM growth outlook starts to see some dents). Whether these risk scenarios transpire would depend on energy prices and core yield pressures. This week, energy prices and higher US real rates amid lower US breakeven inflation have skewed more towards ‘stagflationary’ type pressures for EM FX (Figure 4). Our own bias is that energy prices subsiding is the larger probability scenario going forward. We hold onto our regional OWs in TRY, HUF and CZK partially funded with a EURUSD hedge via UW RSD.

We added [tactically short ZARHUF](#) with higher product exposure likely to weigh on ZAR. South Africa’s refined chemical import exposure is higher compared to Hungary, while recently HUF has reflected the ToT pressures relatively more than ZAR according to our models (Figure 5). Carry is not dramatically different for these two currencies, while the central bank bias may now rotate towards incrementally more hawkishness for NBH (due to the inflation target change and FX weakening) than for SARB. The SARB’s forecast revisions and statement were hawkish at the September meeting this week but our economists still do not expect further tightening in the current cycle with less than even odds for a January hike (see [here](#)) vs. market expectations of 2 additional hikes over the next 9 months. We also keep OW HUF, 09-

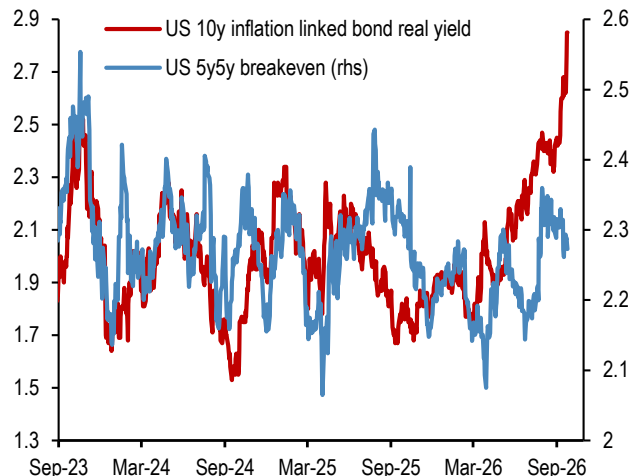
Nov-26 EUR/HUF seagulls (buy 335 put, sell 375/395 call spread) and long HUF vs. 50/50 basket of CZK and PLN to reflect relative conviction and medium term revaluation potential.

Volatility in RON implied yields appears acute, but we see little risk of any step devaluation and expect EURRON to trade well sub the forwards curve. RON bonds have underperformed in the EM risk-off ahead of the expected parliamentary vote to choose a Prime Minister next week where Siegfried Muresan has been nominated. Polymarket odds suggest the likelihood of success remains low. Despite a +80bp rise in 3m FX implied yields over the last week (Figure 6), we still assess the probability of an accelerated RON spot depreciation path to be low amid limited eurization and still very healthy FX reserves in Romania. Selling of local market bonds may reduce RON liquidity in the very short-term however liquidity dynamics remain healthy in Romania and will likely improve further in Q4 with the expected 6th RRF payment from the EU. We are MW RON in the GBI-EM model portfolio.

Our low yielding exposures in OW CZK and tactical option exposure in PLN appear at risk. PLN and CZK screen more than 1 std cheap vs growth indicators according to our short term fair value models. Gas import exposure is material, however negative implications for Poland and Czech from diesel protectionism are mainly indirect via EU which has meaningful exposure (Figure 2). In PLN, we are tactically long via [3-month EURPLN 4.28 put](#) at 0.36% premium (spot ref. 4.3175) as we expected a more hawkish NBP stance which has not transpired. It now looks increasingly likely that this option will expire OTM. Our OW CZK position also relies on expectations that the central bank will be raising the policy rate, and while the CNB has been in no hurry to deliver further tightening, we still see a hawkish shift as likely.

Continue to hold downside USDILS option structures ahead of an increasingly uncertain election. On [August 13](#), we added back bullish ILS via 19-Oct-26 USDILS 2.93/2.83 1x1.5 put spreads, indicatively priced at 61bp (spot ref: 2.9826), to capture upside potential ahead of the 27 October election (see preview [here](#)). We opted for a maturity pre-election, as the election risk itself seems fairly binary to us given the true probability of a Likud continuation was higher than what current polls suggest given the party's historical prominence (see [here](#)). Our Economists have raised that the probability for a repeat election have risen with more balanced poll sources showing falling support for the opposition. Neither the government nor the expected opposition coalition alone can achieve the 60+ seats needed to form a government - with Arab parties currently making the difference.

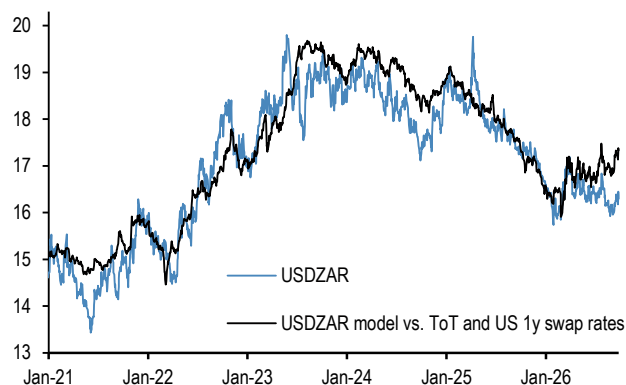
Figure 4: US real yields have spiked in September without higher expected inflation



Source: J.P. Morgan, Bloomberg Finance L.P.

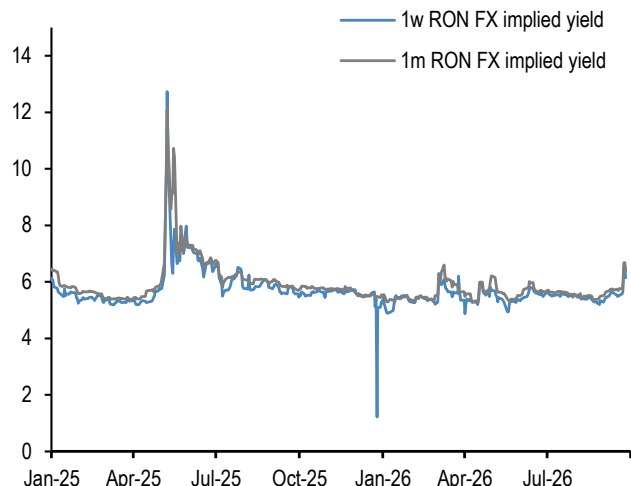
Figure 5: ZAR remains expensive to ST FV

Model includes South Africa's terms of trade and US 1y swap rates



Source: J.P. Morgan, Bloomberg Finance L.P.

Figure 6: Rise in RON 3M implied yields still moderate compared to 2025 presidential election

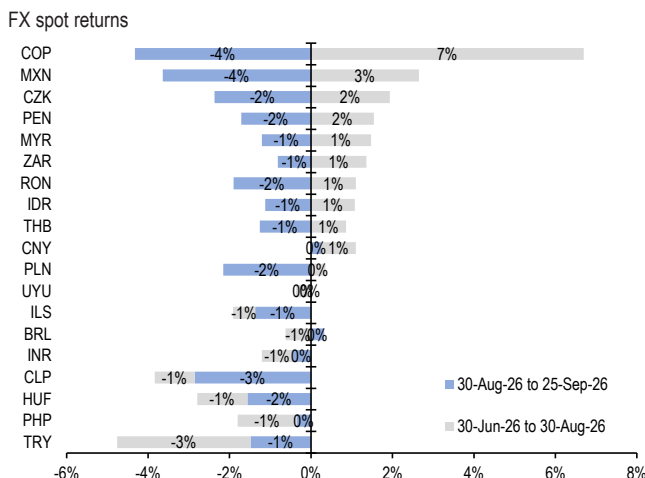


Source: J.P. Morgan, Bloomberg Finance L.P.

LatAm FX: Remaining OW through the volatility

The week was marked by a risk-off mood that led to sharp depreciations in Latam currencies. Global conditions were at the driver's seat with no local narrative or domestic headlines adding to the FX moves in the region. COP and MXN led the weekly losses, after having outperformed the EM complex throughout the summer. Positioning does not look too crowded in either MXN or COP but their momentum had built up rapidly in recent months, leaving a wider space for a repricing relative to peers, in a scenario of lower risk appetite and higher volatility.

Figure 7: The September risk-off has led to sharp depreciations in Latam currencies

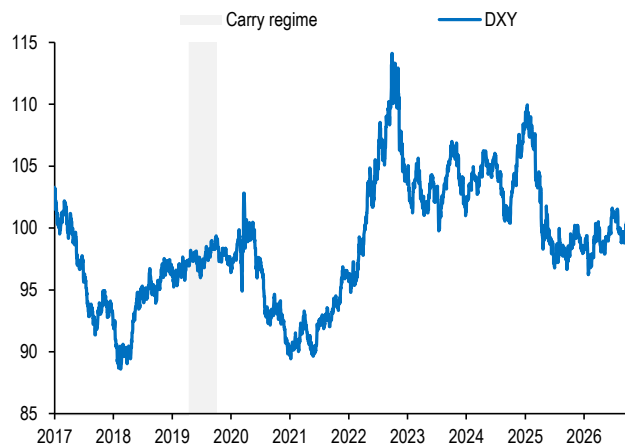


Source: J.P. Morgan, Bloomberg Finance, L.P.

In our previous analysis, we had concluded that carry strategies can withstand DXY strength in orderly market conditions but that volatility represents a critical risk to the view. The relatively more constructive DXY outlook stemming from more hawkish expectations for the Fed still leaves space for carry to perform. However, periods when the USD appreciates versus DM currencies while EM FX also delivers strong performance usually happen when volatility is low. This implies that a meaningful spike in volatility is a critical risk to carry's ability to produce positive returns. In the near term, Latin America-specific catalysts are likely to be policy related (for example, Brazil), but, more broadly, we had pointed to the possibility, or reality, of aggressive Fed tightening as one of the mains risks to these strategies, which is aligned with the wave of cautiousness and the underperformance of Latam high-yielders in recent days.

Figure 8: DXY weakness is not a prerequisite for carry to perform

DXY Index during recent carry cycles

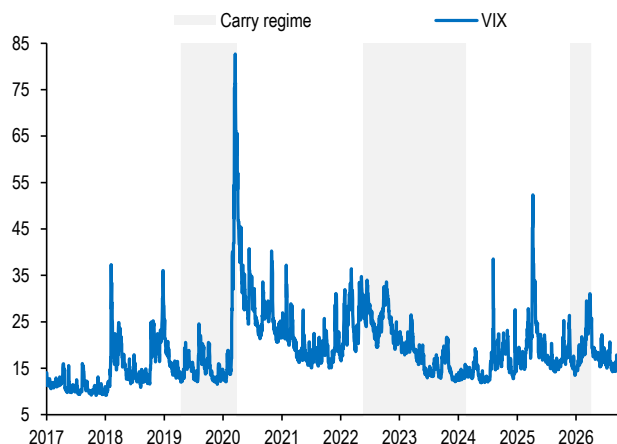


Source: J.P. Morgan, Bloomberg Finance L.P.

Note: Carry regimes identified as periods when single-factor carry strategy outperforms single-factor value strategy by a margin of more than 5pp over 3-month windows; single-factor strategies (carry adjusted by volatility and PPI-based REER value) are J.P. Morgan FX research strategies.

Figure 9: Volatility spikes are a risk to the view

VIX Index during recent carry cycles



Source: J.P. Morgan, Bloomberg Finance L.P.

Note: Carry regimes identified as periods when single-factor carry strategy outperforms single-factor value strategy by a margin of more than 5pp over 3-month windows; single-factor strategies (carry adjusted by volatility and PPI-based REER value) are J.P. Morgan FX research strategies.

We are holding on to our OW in COP and MXN for now.

We do not think a structural shift away from the procyclical narrative is justified by the Fed's recent move or by JPMorgan's expectations for one additional Fed hike in December (even with risks skewed toward one final hike in early 2027).

Hence, our baseline would still be one where US rates (and oil) stabilize at a level consistent with resilient global growth and stable equity markets, which would lead to Latam carry vehicles to recover, particularly as we have reached levels more consistent with fair values in currencies like COP,

where dislocations were wide on the expensive side.

For MXN, a more cautious central bank will likely provide some breathing space. Banxico held the policy rate at 6.5% as universally expected but changed its communication to put more focus on the behaviour of the FX. In the August decision, the board underscored that "going forward it will be appropriate to maintain the reference rate at its current level," while in the last meeting the COPOM said that "future decisions will consider the continuation of the disinflation process, its determinants including the FX pass-through, economic slack, and inflation expectations." The new forward guidance is, in our view, signaling that the policy differential vs US is unlikely to compress much further from here in a context of global tightening and vulnerabilities in EM currencies, which should provide a good setup for a recovery in a context of more stable external conditions.

On more idiosyncratic trades, we are holding a 3M 5.00/4.80 USD/BRL 1x2 ratio put spread ahead of the upcoming Brazilian election. The trade cost ~35bp at inception and benefited from the richness of downside protection, with limited losses in a non-market friendly scenario. The payoff is designed to be most favorable with USD/BRL around 4.80, roughly 6% below spot. Given where the election is in the cycle, we think the chance of a large move beyond that level before the second round is relatively limited. It is also worth noting that the total move implied by options pricing across both election rounds is about 6%, which lines up with where the structure peaks. The structure and the thesis behind it will be revisited after the first round of the election.

A word on diesel imports in the region

Talk of a US diesel export ban has weighed on Latam currencies in recent days. Latam economies show the highest import shares from the US in EM, and also have little product reserves available in domestic storage, which makes them vulnerable to a potential US diesel ban and explains why the noise around it contributed to the negative performance this week.

- Peru and Chile are the most exposed, with little to no refining capacity and with both countries sourcing around 60-70% of their diesel consumption from the US. Given the size of recent moves, CLP is where we see the widest space for a tactical recovery if oil prices stabilize lower and the risk of export bans on products recedes.
- In Mexico, the dependence from US diesel imports has been decreasing over the past couple of years, as local refining capacity has grown. Data from State oil company PEMEX shows that Mexico has gone from sourcing ~60% of its diesel consumption from the US in 2023 to

around 30% in August 2026.

- It is also worth considering that given the intensive flow of goods via land borders between the US and Mexico, we think incentives would be aligned to exempt Mexico from the ban, in order to avoid arbitrage or spillovers from an abrupt increase in import transportation costs.
- For Brazil, the estimate is that 25% of Brazil's diesel consumption is supplied by imports. In August, the US accounted for more than 70% of diesel imports, so overall, US import represent about 18% of domestic diesel consumption. The reliance on US imports has increased significantly as a result of the Russia ban (they sourced 60% of their imports from Russia, and this flow now accounts for only about 30%).
- Finally, Colombia seems to be in better shape, with more refining capacity and only about 10% of the diesel consumption sourced from the US.

Asia FX: Keeping a bullish lean on CNY FX

The CNY fixing has broken through key levels over the past two weeks, moving firmly into the sub-6.75 range ahead of this week's Trump-Xi meeting. The move marked the fastest 10-day decline since April, before momentum began to moderate later in the week. Following the mini pull-back over the past two sessions, the fixing dynamic has shifted from lower fixings with an accelerating downtrend to lower fixings with a decelerating one. Even so, the PBoC's strengthening bias relative to our model estimate incorporating the CCF has been broadly preserved. Indeed, the PBoC's short-term fixing signals have consistently pointed to a direction of guiding USD/CNH lower over most of the past month. The cumulative strengthening bias versus our model estimate has now reached levels comparable to late 1Q and early 2Q this year, when the rapid decline in the fixing delivered a meaningful downward impulse to USD/CNH. This time, however, USD/CNH has responded far less forcefully. Despite the sharp decline in the fixing, the pair has struggled to break decisively below 6.70 and has effectively round-tripped to roughly flat month-to-date. The more than 2% rebound in the dollar, driven by a broader risk-off backdrop and hawkish Fed repricing, partly helps explain the lack of follow-through in USD/CNH downside. At the same time, the unusually wide spot-fix discount has likely also discouraged investors from chasing the move lower in recent weeks. However, as the spot-fix gap has now narrowed back to around 300-400 pips, the risk-reward for re-engaging USD/CNH shorts has become more attractive. **We therefore maintain our constructive CNH view and retain long CNH positions against both the USD and EUR.**

this year. Expectations around the meeting's outcome are low at this point, where we believe the meeting this week is likely aimed less at producing a grand bargain and more at preserving a fragile framework of "strategic stability" established earlier this year. Both sides are expected to prioritize dialogue, crisis management and preventing further deterioration in relations amid continued tensions over trade, technology, sanctions, supply chains and Taiwan. The most realistic economic outcome is a limited package of confidence-building measures, including an extension of the current truce, partial tariff unwinding on selected goods, renewal of the rare-earth truce, selective semiconductor licensing approvals, additional Chinese purchases of U.S. goods and products, and modest investment facilitation measures. However, core disagreements around tariffs, export controls, investment screening and AI competition are expected to remain in place. On geopolitics, the most constructive area for cooperation may be the Middle East, where Washington hopes Beijing can use its influence with Iran while both sides share an interest in keeping the Strait of Hormuz and other critical shipping lanes open. AI is another potential deliverable, although expectations are limited to a risk-management framework or joint dialogue rather than any binding governance agreement. Taiwan remains the largest geopolitical flashpoint, with President Xi expected to press President Trump on U.S. policy while meaningful concessions appear unlikely.

Overall, the summit is expected to reinforce a model of "managed decoupling" rather than reverse it, providing some near-term relief to geopolitical risk premia and supporting market sentiment, but without materially changing the longer-term trajectory of strategic competition between the United States and China. **For financial markets, continued signs of stabilization in US-China relations should be sufficient to support risk sentiment in the near term. However, with China-linked assets already trading ahead of underlying cyclical fundamentals, this week's summit is unlikely to provide much additional broad-based upside**, barring a surprise breakthrough or grand bargain. The silver lining for CNY FX is that past high-level US-China presidential engagements have generally been supportive of the yuan, with USD/CNH tending to move lower around key events, as we have highlighted previously ([China Local Markets Weekly: Re-engage with CNH longs; Lean into curve flattening](#)).

Trump-Xi Summit: Low bar, high stakes. President Xi is now in the US for his second summit with President Trump

Emerging Markets FX

Figure 10: GBI-EM Model Portfolio

	Bond View	FX View
GBI-EM	MW	OW
EM Asia	UW	MW
EMEA EM	OW	OW
Latin America	MW	OW
China	MW	OW
India	MW	MW
Indonesia	MW	MW
Malaysia	MW	MW
Thailand	UW	UW
Czech Republic	MW	OW
Hungary	OW	OW
Poland	MW	MW
Romania	MW	MW
Turkey	MW	OW
Serbia	MW	UW
South Africa	MW	MW
Brazil	MW	MW
Chile	UW	MW
Colombia	OW	OW
Dominican Republic	MW	MW
Mexico	OW	OW
Peru	UW	MW
Uruguay	MW	MW
Paraguay	OW	OW

Source: J.P. Morgan.

Figure 11: Outright trades

EM Asia	Entry	Target	Stop	Entry
24-Sep-26 USD/INR call (98), spot ref: 96.83, fwd ref: 97.46	0.71%	-	-	24-Jul-26
Short 10-Dec-26 SGD/TWD	25.03	23.77	24.51	08-Jun-26
Long INR vs. 50/50 basket of PHP and IDR	100.00	104.00	98.00	08-Jun-26
Long CHN versus 50/50 basket of EUR and USD	100.00	102.00	99.00	09-Sep-26
EMEA EM	Entry	Target	Stop	Entry
Long RUB vs. 50% CZK and 50% PLN basket	100.00	105.00	97.50	08-Jun-26
29-Nov-26 EUR/PLN weighted - buy put (335), fwd ref: 362.50, sell 1x1 call spread (375, 395), fwd ref: 360.75	-0.37%	-	-	08-Jun-26
Short 20-Oct-26 USD/TRY fwd	50.27	49.50	51.00	19-Aug-26
23-Nov-26 EUR/PLN 4.28 put (entry spot ref: 4.3175)	0.36%	-	-	21-Aug-26
19-Oct-26 1x1.5 USD/LS 2.932/83 put spread (entry spot ref: 2.9826)	0.61%	-	-	13-Aug-26
LATAM	Entry	Target	Stop	Entry
Short CAD/MXN	12.57	-	12.95	17-Apr-26
17-Dec-26 USD/BRL 1x2 put spread (5.00, 4.80), spot ref: 5.10	0.26%	-	-	04-Sep-26

Source: J.P. Morgan.

FX Derivatives

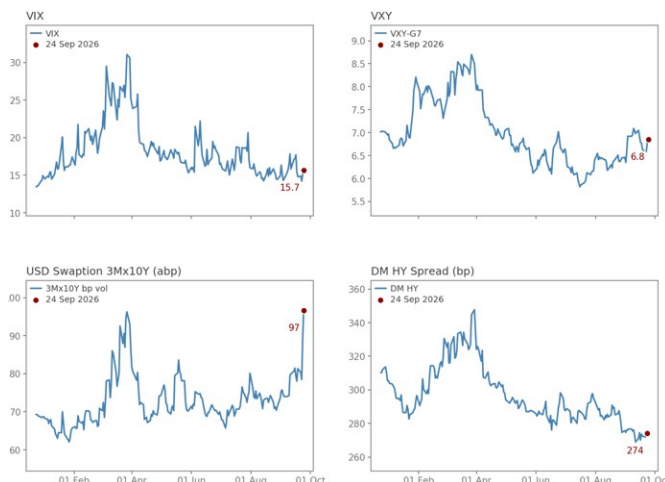
Nobody Puts EUR In The Corner

- **FX volatility has repriced higher, especially after this week's moves, and no longer screens cheap vs. x-asset.**
- **EUR** is reinforced by political fragmentation risks in France and Germany. We therefore favor 3M6M EUR/SEK FVAs and discounted bearish EUR/USD through USD and GBP dual-digitals and EUR vs. USD, NOK, AUD WoFs.
- **US equity earnings expectations remain constructive, but historical suggests risk-on periods accrue more to SPX than FX, but even less for small-cap RTY, creating opportunities for RV hybrids. Hence, consider long SPX funded by short AUD/JPY calls, and long USD/CHF funded by short Russell 2000.**
- **USD/JPY topside remains increasingly constrained by intervention risk, while JPY skew continues embedding premium relative to realized outcomes. Selling intervention-sensitive USD/JPY topside via 162 RKIs and fading rich USDx and GBPx skew through equal-lega ratio put spreads.**
- **FX volatility remains constrained despite a crowded event calendar, leaving attractive carry opportunities across pockets. Collect rolldown through short USD/HUF and GBP/USD 6M3M paired with longer-dated 9M3M and 1Y3M tail protection, respectively.**

Vols remain low, but are no longer cheap

FX implied volatility remains low in absolute terms, but the asset class is no longer trading near the depressed levels seen two months ago (**Figure 1**). The recent repricing higher has left FX vol looking less cheap relative to other asset classes. While VIX and HY credit volatility have remained subdued considering their markets continue performing uninterrupted on the back of successful AI and hyperscaler rallies, Rates volatility has moved sharply higher following the repricing in yields driven by the Treasury Secretary's buyback announcement and the Fed's unanimous hike. As a result, FX vol now screens closer to the middle of the cross-asset volatility spectrum rather than as a clear laggard.

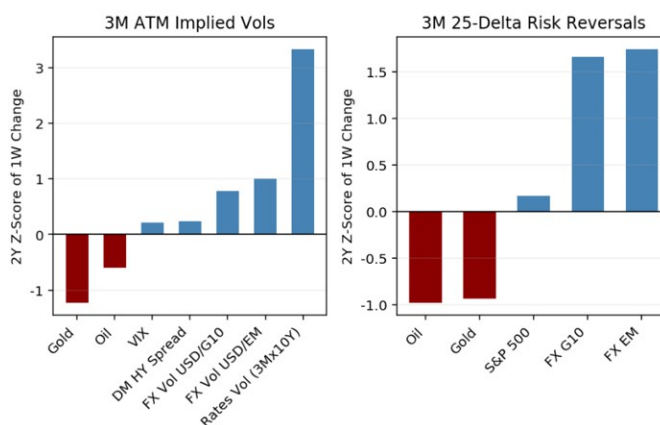
Figure 1: While the VXY remains low compared to historical levels, FX vol is not cheap compared to other asset classes.



Source: J.P. Morgan.

This week's risk-off move was primarily a rates event. The largest repricing occurred in rates volatility, with FX EM registering the next largest adjustment across both implied volatility and risk reversals (**Figure 2**). By contrast, several traditional risk-off beneficiaries have seen a much more limited response. The recent bond sell-off provides a useful benchmark for assessing which markets have and have not reacted in line with comparable yield shocks, gold standing out in this regard.

Figure 2: FX EM had the sharpest repricing in vols and risk-reversals, second only to rates.



Source: J.P. Morgan.

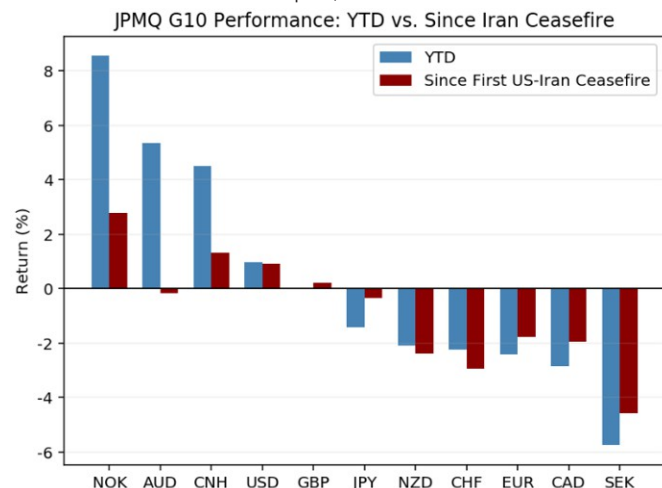
Pressure From Political Fragmentation Adding to Downside EUR Sentiment

EUR has been one of the worst-performing G10 currencies this year. **Figure 3** shows that most currencies outperformed EUR, suggesting the weakness cannot be attributed solely to the Iran conflict. While EUR is down 2.4% YTD, it remains

down 1.8% even when excluding the period before the first ceasefire. Our [macro colleagues](#) have argued for bearish EUR positioning since May, most recently citing energy vulnerabilities exacerbated by the US Diesel Export Ban pressures, rich valuations, and broad USD strength.

Figure 3: EUR has been one of the worst performers this year.

First US-Iran ceasefire announced April 7, 2026.

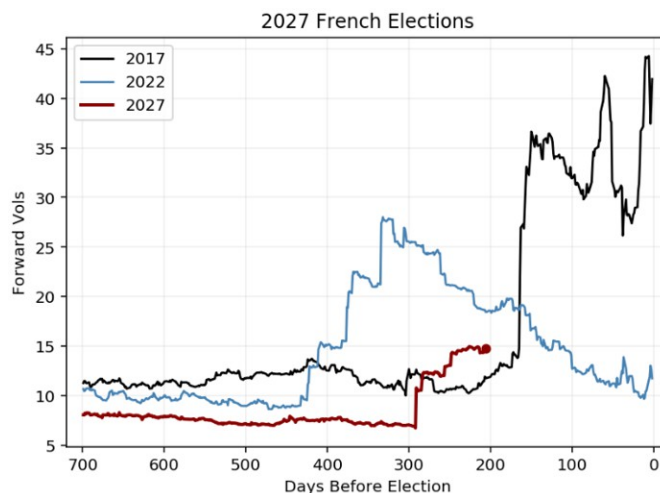


Source: J.P. Morgan.

Political uncertainty is now adding to these headwinds. In Germany, the rise of the AfD have increased concern for possible political fragmentation ahead of the January 30 election, but our [economists](#) argue the party has a low likelihood of forming a government in the states it made large gains in. In France, the upcoming September 30 budget draft begins a process extending through year-end, expected to be more [noise](#) than a major vol shock. However, the split legislature has already complicated passage of the 2025 and 2026 budgets and could remain a source of uncertainty heading into the 2027 presidential election as polls between Le Pen versus a moderate candidate have scope to [tighten](#).

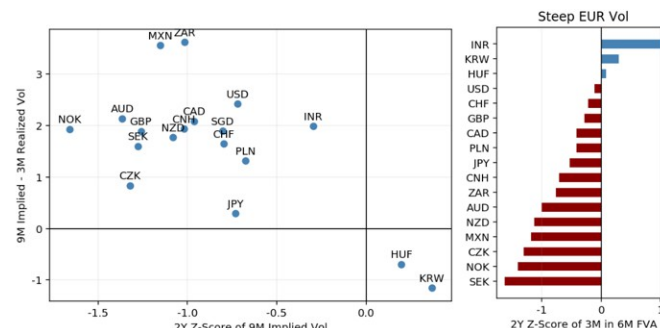
Forward vol markets have started to reflect this risk. Election pricing is now above ending levels of the 2022 cycle (**Figure 4**). A more contentious budget process or renewed uncertainty around France's fiscal outlook could increase political risk premia and weigh further on EUR.

Figure 4: FX vol pricing for the April French Presidential elections have begun to tick higher 7 months in advance.



Source: J.P. Morgan.

Figure 5: EUR/SEK forward vols underprice European political risk.



Source: J.P. Morgan.

However, per Figure 3, EUR/SEK is one of the steepest forward vol curves in the G10. The market is pricing a substantial normalization in volatility over the next six months, with the 3M in 6M forward vol trading around a -1.6σ discount relative to the 2Y historicals. Any persistence of current macro uncertainty, election risk, European fiscal concerns, or Riksbank/ECB hawkish divergence argues for a repricing higher in vol, making forward vol look too cheap. Trade:

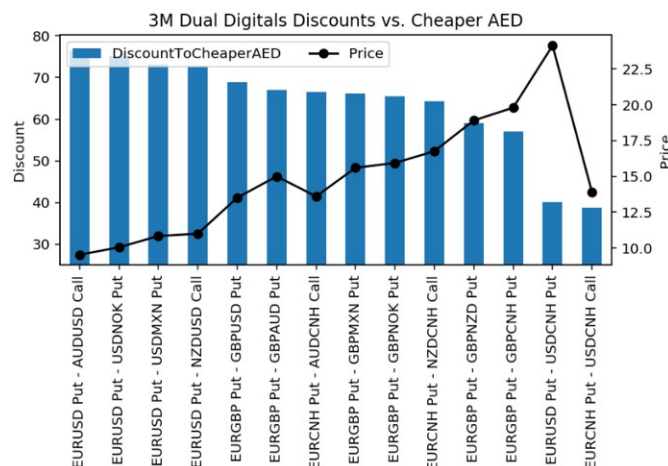
— **Buy a 3M in 6M EUR/SEK FVA for 5.75/6.25, mids at 5.83 vol pts.**

Lever up EUR Downside via USD and GBP Correlations

USD-motivated correlations remain [elevated](#) as the dollar continues to dominate FX macro pricing through Fed policy expectations, US exceptionalism, and broad USD trends. GBP correlations are also [elevated](#) as markets price a combination of UK fiscal risk, BoE sensitivity, energy-linked macro developments, and GBP's carry and growth characteristics.

Fading USD and GBP correlations provides a discounted way to express a broader EUR bearish view into the French budget process and the German and French election cycle. Our dual-digital screener pairs EUR downside with currencies the team remains constructive on. **Figure 3** highlights NOK and USD as among the strongest performers this year, while **Figure 6** shows NOK and AUD screen among the cheapest structures.

Figure 6: Playing a weak EUR on USD pivots screen most favorable with the opposite leg as AUD and NOK.



Source: J.P. Morgan.

EUR/USD downside remains a natural expression of deterioration in European fiscal and political dynamics. Pairing this with USD/NOK downside adds exposure to a currency [supported](#) by a surprise September hike, historically high carry, favorable terms of trade, and reduced sensitivity to lower energy prices. We therefore recommend:

— **Buy a 3M [EUR/USD < ATMS and USD/NOK < 0.5% OTMS] for 9.2/11.2, mids at 10.06% and spot refs. 1.1398, 9.5076.**

For investors seeking to avoid selling persistently elevated USD correlations, GBP provides an alternative correlation pivot. EUR/GBP downside captures the EUR-specific risks discussed above alongside GBP's carry and growth support. GBP/USD downside remains consistent with a scenario in which USD strength, persistent spot trends, and hawkish Fed pricing dominate. We therefore recommend:

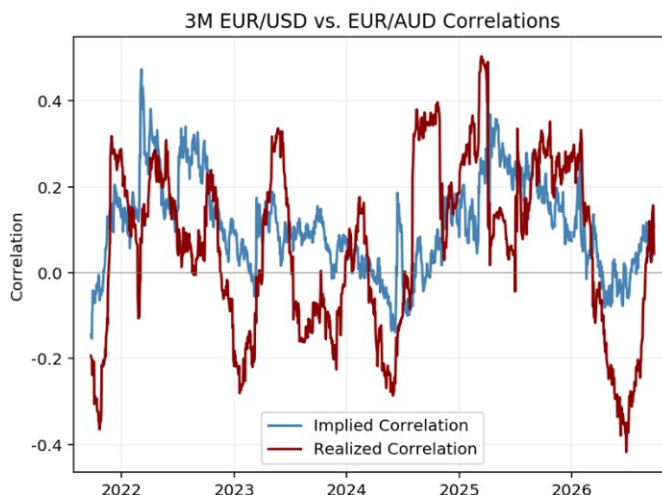
— **Buy a 3M [EUR/GBP < 0.5% OTMS and GBP/USD < ATMS] for 9/11%, mids at 10.94% and spot refs. 0.8608, 1.3242.**

Buying Weak EUR Correlations

EUR correlations offer an attractive entry point given they have begun to realize above implied levels for select pairs

(**Figure 7**). Long EUR correlation structures therefore continue to screen attractively and worst-of structures provide one way to express this view. These baskets pay the lowest-performing component at expiry, incorporating correlation directly into pricing. **Figure 8** shows discounts from our EUR-put worst-of basket screen.

Figure 7: EUR correlations have begun to realize for certain pockets, and can be worthwhile investing in early.



Source: J.P. Morgan.

Figure 8: Given USD-driven elevated corrs, EUR triangles collapsed, cheapening the worst-off baskets.



Source: J.P. Morgan.

EUR against USD, NOK, and AUD generates the largest discounts using only two currency pairs. Adding a third pair provides limited additional benefit, suggesting two-pair baskets remain the cleaner expression. As an alternative to the dual-digitals above, consider expressing the view through a 4M structure spanning the French budget process and the build-up to the German election:

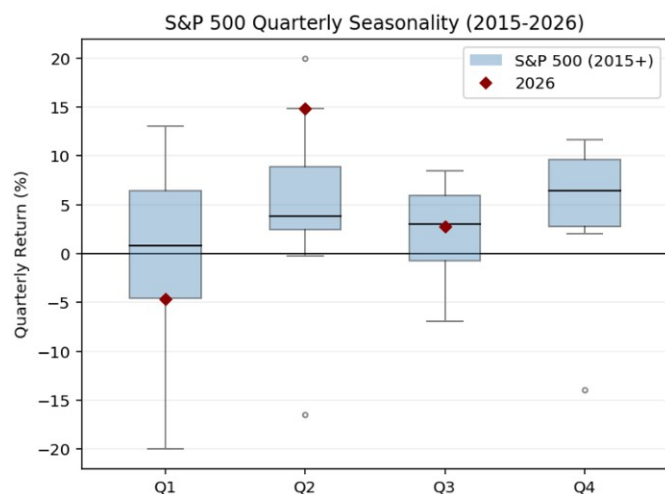
— Buy a 4M EUR/USD < ATMS & EUR/NOK < ATMS worst-of for 30.5/36.5 bps.

— Buy a 4M EUR/USD < ATMS & EUR/AUD < ATMS worst-of for 36 bps., mids at 32 bps.

Hybrids for a Busy Calendar Ahead

As Q3 earnings season approaches, with most of the Mag 7 reporting on Oct. 28-29 and Nvidia on Nov. 18, our [equity strategists](#) remain constructive on US equities. They recently raised their 2026 and 2027 EPS forecasts and increased their S&P 500 year-end target to 8,000 from 7,800, citing a favorable earnings backdrop, supportive positioning, and valuations that remain below historical extremes ([link](#)). Historical seasonality is also supportive of positive Q3 returns for the S&P 500 (**Figure 9**).

Figure 9: 10-year seasonality supports a positive earnings report that current pricing already reflects, as well.

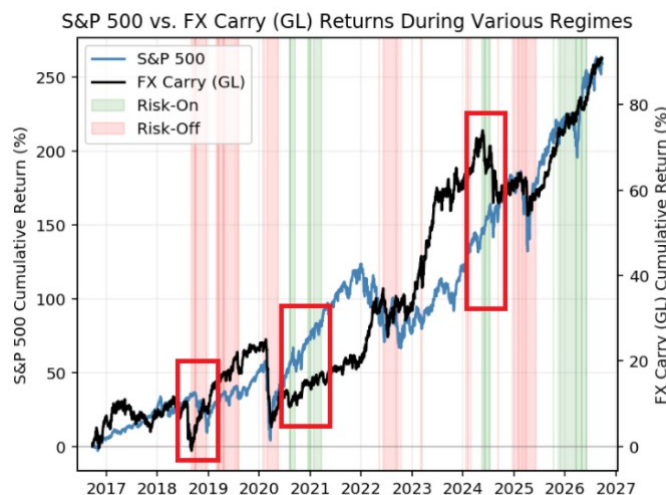


Source: J.P. Morgan.

For FX investors, the more relevant question is how a positive earnings outcome translates into high-beta currencies. Comparing S&P 500 and the global FX Carry basket performance across risk regimes suggests risk-on returns tend to accrue more to equities than FX (**Figure 10**). Equities benefit directly from earnings growth and productivity gains, while currencies remain constrained by relative-value dynamics. With markets still characterized by a pro-carry, growth-supportive backdrop, the historical pattern should be intact, although YTD FX kept up very well, indicating a need for more careful parsing in search for RV opportunities.

Figure 10: Equity returns outpace FX Carry during risk-on environments. YTD FX largely kept up.

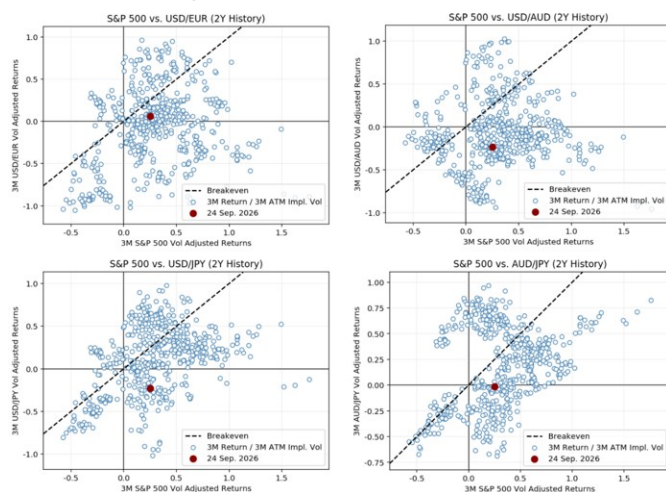
Risk-on (-off) periods are when the Gold/Silver Ratio is less than -1.5 σ (greater than +1.5 σ).



Source: J.P. Morgan.

Deeper dive on conditional S&P 500-FX analyses across liquid currency pairs over the past two years show equities generally deliver larger returns than their FX counterparts (**Figure 11**). Recent three-month observations remain broadly consistent with these longer-term relationships, suggesting that even if Q3 earnings exceed expectations, FX may under-deliver the corresponding move in risk assets.

Figure 11: S&P 500 historically outperforms high-beta, liquid FX in absolute and vol adjusted terms.



Source: J.P. Morgan.

AUD/JPY exhibits one of the cleanest positive sensitivities to earnings outcomes. While seasonality remains supportive, Q3 returns are less compelling on a levels basis than in other quarters. Elevated expectations, calls for increased regulation,

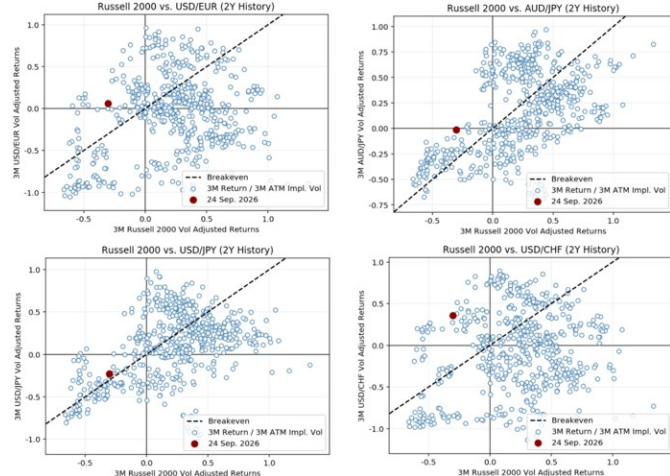
and crowded positioning also raise the hurdle for positive tech earnings reactions. In the Q2 earnings review, our [colleagues](#) noted that even companies delivering earnings beats often experienced muted or negative share-price reactions, particularly within Tech, as investors focused increasingly on capex commentary. As a result, strong earnings may not translate into commensurate equity upside.

On the FX side, the July 31st JPY intervention appears to have established a soft topside cap on crosses, with AUD/JPY continuing to struggle above 115. Double-sided intervention risk, a more hawkish Ueda, and a softer [Australian](#) labor backdrop following September's hike argue for more rangebound price action. We therefore recommend:

— **2x Short 2M AUD/JPY 30-delta calls to fund long 1x 2M SPX 102% moneyness call for 70 bps (each) and 150 bps, spot ref. 110.5137 and 7706.79.**

A different conclusion emerges when looking at small-cap equities. Russell 2000 performance continues to lag, reflecting greater sensitivity to higher [policy rates](#) and [wage inflation](#). Conditional RTY-versus-FX relationships suggest USD/CHF is currently the stronger expression of this theme (Figure 12).

Figure 12: Russell 2000 currently underperforms high-beta, liquid FX.



Source: J.P. Morgan.

Supported by carry, a risk-on backdrop, and rising global rates, consider collecting premium and playing:

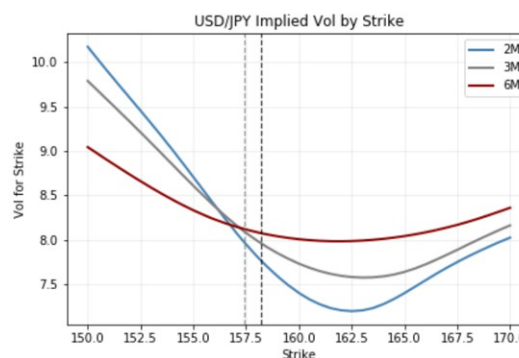
— **3x Long 2M USD/CHF 0.8395 calls funded via 1x short 2M RTY 99% moneyness put for 37 bps (each) and 250 bps, spot ref. 0.8286 and 2828.92.**

JPY conditionals and x-skew

USD/JPY topside conditionals

USD/JPY continues to grind toward 160, but the scope for a sustained extension beyond may be increasingly limited by intervention risk from the MoF, alongside the potential for renewed US Treasury scrutiny. Capped-topside structures have consequently been the anecdotal vehicle of choice, with the vol-by-strike profile now placing the low of the smile around 162-163. Against this backdrop, we are inclined to sell the 160+ part of the USD/JPY distribution, either outright or using the proceeds to finance an offsetting expression elsewhere while largely neutralizing the USD beta.

Figure 13: The low of the smile is around 162-163.



Source: J.P. Morgan.

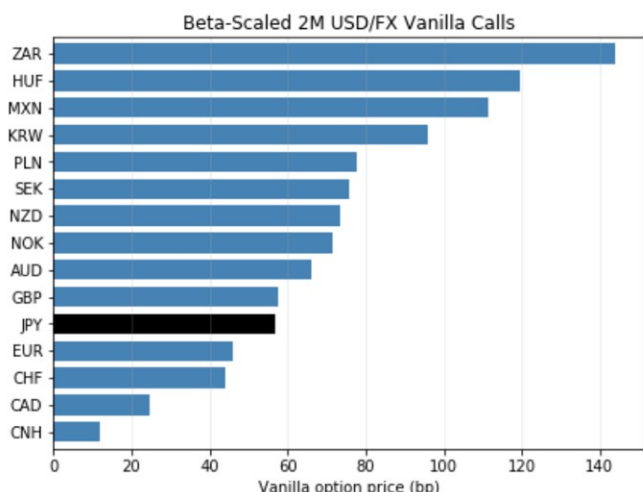
Rather than selling a vanilla USD/JPY call, we prefer selling a reverse knock-in (RKI) call. The RKI creates a useful buffer between the strike and the barrier while giving up very little premium relative to the vanilla. In other words, the structure retains most of the premium from selling the 160 call but requires spot to extend further before the short option becomes active, which is attractive precisely when our view is that intervention risk should increasingly constrain the upside.

To identify the most efficient second leg, we compare spot FX betas and feed those betas through the option pricer, adjusting the hedge strike accordingly. On this basis, CHF, EUR, GBP and then AUD provide the best substitutes for JPY. CAD and CNH also screen favorably on option price, but we are less comfortable with their ability to provide sufficient protection in a forceful USD rally. EUR therefore offers a good combination of option value and USD-beta hedge. At 0.5x notional, the EUR/USD leg allows us to retain roughly half of the premium collected on USD/JPY, while the beta-adjusted strike distances imply that EUR/USD should be approaching its hedge strike if USD/JPY reaches 160.

Sell 3M USD/JPY 160 call with 162 RKI @69 bps, mids at 74 bps.; hedge with 0.5x 3M EUR/USD 1.1250 put @55

bps., mids at 54 bps and spot refs. 157.385, 1.1399. The package expresses our preference to sell the increasingly intervention-sensitive USD/JPY topside while retaining protection against a broader USD rally.

Figure 14: EUR offers the best balance of cost and hedge effectiveness.

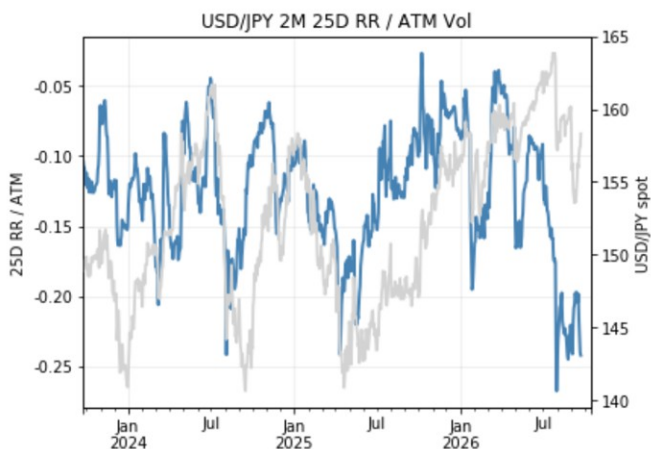


Source: J.P. Morgan.

JPY skew vs x-skew

While JPY vols have consolidated to a notable degree, skew has proved considerably stickier. The RR/ATM ratio has contracted only marginally and remains wider than during the other 2025 episodes, around levels last seen during the summer-2024 carry unwind (Figure 15).

Figure 15: The RR/ATM ratio remains wider than during the other 2025 episodes.



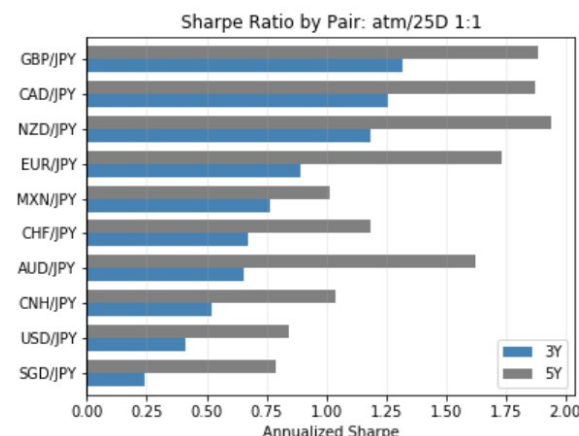
Source: J.P. Morgan.

At the same time, the market response to the latest rate check has been relatively modest. Part of the persistence is under-

standable: the July-September skew episodes remain fresh in investors' minds, while USD/JPY is moving closer to levels at which intervention risk becomes increasingly relevant. That combination may make outright normalization of USD/JPY skew difficult even if spot itself continues to grind.

Historically, however, USD/JPY skew has been more susceptible to bouts of outsized performance than skew in several JPY crosses (Figure 16). This reflects a combination of faster post-shock recovery in the higher-beta crosses and stronger outright skew performance in USD/JPY during stress episodes. Even allowing for that difference, we think current JPY skew embeds enough premium to favor structures that are long gamma and short skew.

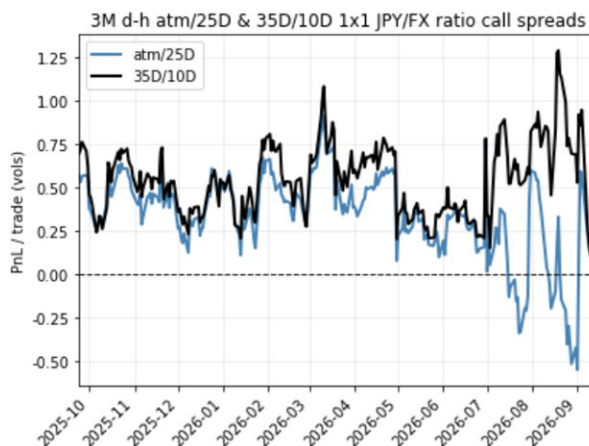
Figure 16: USD/JPY skew has been more susceptible to bouts of outsized performance than skew in JPY crosses.



Source: J.P. Morgan.

Figure 17: ATM/25D short skew has underperformed 35D/10D structures YTD.

1-month holding period. No TC. Avg PnL from JPY/FX equal vega ratio call spreads (delta-hedged).



Source: J.P. Morgan.

Strike selection matters. ATM/25D constructs have underperformed 35D/10D structures YTD (**Figure 17**), although the relationship reverses over longer horizons, importantly because the Liberation Day drawdown hit the further-out strikes materially harder. For the present setup, however, we prefer the latter. A sufficiently forceful intervention could plausibly produce a sharp recoil toward the 152-153 area. The 25D strike sits around 153, whereas the 10D strike is closer to 147, leaving the 35D/10D structure better aligned with a sharp but ultimately contained intervention-driven move, rather than one that develops into a much deeper JPY appreciation cycle.

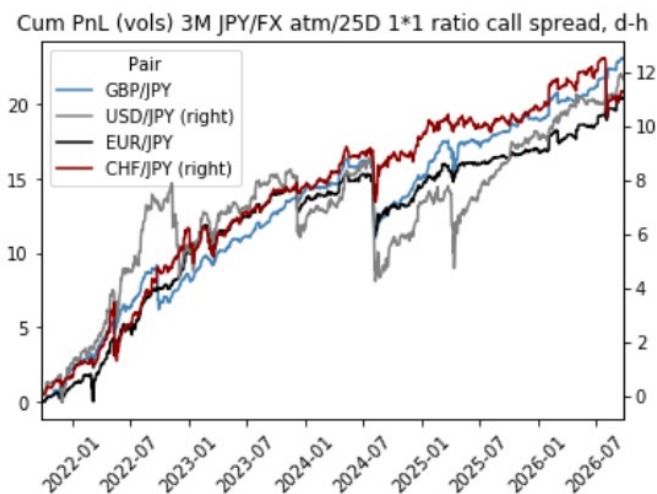
Historical performance also argues for equal-vega rather than 1x2 weighting when fading JPY skew. Our default would often be a 1x2, but in JPY the 1x1 construction has historically reduced drawdowns while retaining robust skew carry outside stress episodes. Robust performance is seen across JPY complex (**Figure 18**).

— **3M USD/JPY 35D/10D equal-vega ratio put spread, delta-hedged, @ 9.6 vs. 11.5.** (mids at 11.7), targeting rich USD/JPY downside skew while allowing for a sharp but bounded intervention move

— **Delta-hedged 3M GBP/JPY ATM/25D equal-vega ratio put spread for 8.7 (mids at 9.05) vs. 10.05**, using x-JPY to fade JPY skew where historical normalization has generally been cleaner.

Figure 18: Robust performance of skew harvesting delta-hedged JPY ratio call spreads.

Delta-hedged daily at smile delta with expiry matched fwd. No TC.



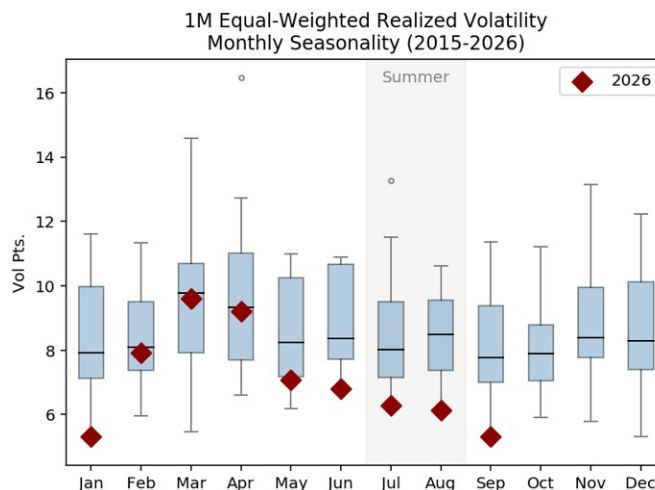
Source: J.P. Morgan.

Collecting Carry in Vol Curves

Honing in on FX volatility, we expect amidling backdrop to persist as both seasonality and the event calendar provide limited support for a sustained move higher in volatility. **Figure 19** shows that USD/FX realized volatility has historically remained stable around the 8-8.5 vol range through the final quarter of the year. Given realizations have spent most of the past five months near the bottom of that range, there is modest room for volatility to drift lower than the 8.5 benchmark while remaining relatively range-bound. More importantly, much of the event risk that dominated markets earlier in the 2H has now passed, including key central bank decisions from the Fed and BoJ. With DM hiking cycles underway and aptly priced OIS markets, these events are less likely to be meaningful generators of realized volatility going forward.

Figure 19: Realized vol has room to modestly tick up heading into the holiday season, but 2H median stays capped at 8.5.

Global universe.

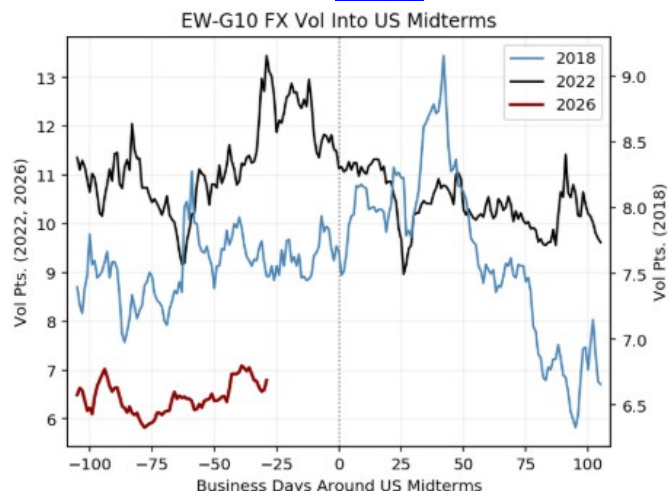


Source: J.P. Morgan.

That leaves a relatively benign backdrop for FX volatility. Upside risks remain tied to a further oil shock that could push crude to a three handle if the US Diesel Export Ban legislation passes, escalation of the Iran conflict contradicting the US President's messaging, upcoming elections in Brazil, the US, South Africa, New Zealand and Israel, or inflation and activity data that contrast the global hiking cycle. However, a majority of these risks have been a known market theme for some time as they developed, and will likely dampen the possible spike in realized vols. Most upcoming DM political events are also not expected to generate meaningful volatility or are approaching levels where we now prefer short-volatility expressions (e.g. [short delta-hedged USD/BRL puts](#)).

Figure 20: US Midterms tend to be a non-vol event as the past two elections pushed vols down 10 days prior.

Further data on the JPMVQVUG ticker in [recent note](#).

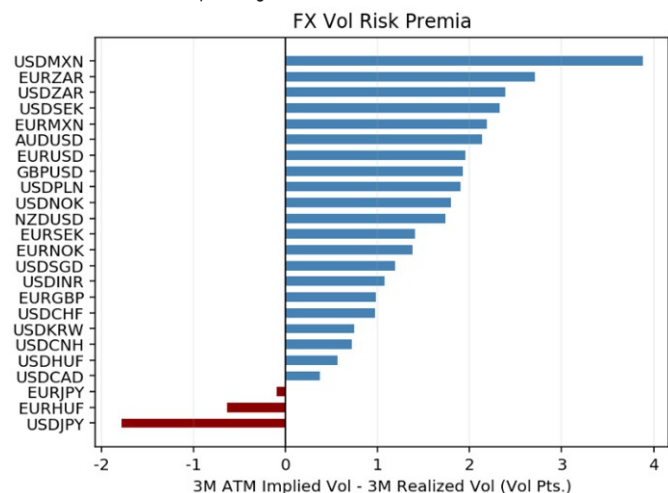


Source: J.P. Morgan.

Figure 20 shows that US midterms have historically coincided with lower FX volatility in the run-up to the event. With implied still near the bottom of recent ranges and no obvious catalyst for a sustained repricing in realized, we expect FX volatility to remain broadly range-bound near term, favoring carry collection. In a [recent Derivs weekly](#), we highlighted EUR/ZAR as an attractive opportunity. Following Thursday's broad sell-off, however, volatility premia have repriced in favor of MXN, while also improving carry opportunities in AUD and GBP (**Figure 21**).

Figure 21: MXN now screens as the richest, unrealized risk premia.

Excluded BRLx due to upcoming elections.



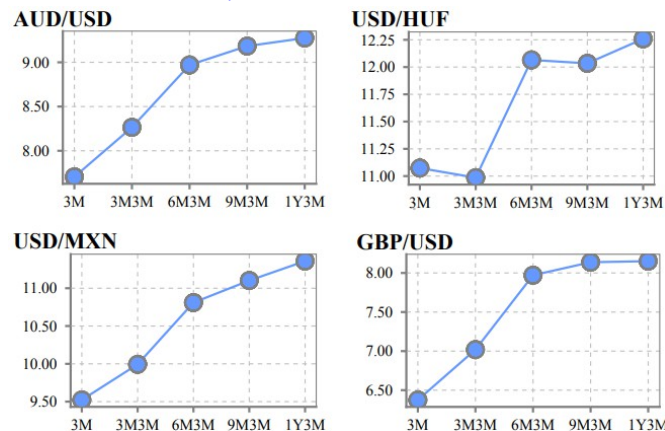
Source: J.P. Morgan.

With no meaningful idiosyncratic event risk in the near term for USD/MXN, GBP/USD, and AUD/USD, as the UK budget

is expected to be a non-event and the RBA appears to be hiking as a precaution rather than out of necessity, there is room to sell front-end volatility and collect carry. One notable exception is USD/HUF, which screens less attractively in 3M risk premia but stands out in the term structure (**Figure 22**). Hungary's election risk has long since passed and Magyar's administration has generated limited surprise in the months since. As markets consolidate, these sell-off beneficiaries should be among the first curves to reprice lower, creating scope to capture rolldown.

Figure 22: Broad sell-off has caused vol curves to steepen in carry-collecting opportunities.

Details found in [recent chartpack](#).



Source: J.P. Morgan.

However, renewed rates volatility, a further escalation in Iran, or another oil shock could spill into FX and reprice volatility higher. As a result, we continue to favor pairing front-end volatility sales with longer-dated tail protection against a larger volatility shock. USD/HUF offers the most attractive carry through the curve, with the tail leg likely to remain relatively sticky should the current environment persist:

— *Sell the 9M and Buy the 1Y USD/HUF straddles for 11.3 vs 11.6.*

To avoid EM-carry sell-off exposure and remain in lower-yielding but less reactive DM markets:

— *Sell the 6M3M and Buy the 1Y3M GBP/USD FVA spread for 0.0/0.4, mids at 0.2.*

Model Portfolio Update

- **TAKE PROFIT:** Take 175bp profit on buying a 3M 2% OTMS CHF/JPY put (1x notional) vs. selling a 3M 2% OTMS CHF/JPY call (2x notional) vs. buying a 3M 2% OTMS USD/JPY call (1.3x notional).

Current Trade Recommendations and P/L

Description	Entry date	Entry	Current mid	P/L	P/L units	Remarks
Sell 4M EUR/BRL 6.45 one-touch call.	18-Sep-26	39.5	44.1	-4.6	%	Collect rich premium on elevated election topside.
Buy a 3M USD/CNH 45D put with EUR/USD upside KO at 1.18.	18-Sep-26	20	11.6	-8.4	bps.	Fade broad USD drivers on macro divergence.
Buy a 3M EUR/ZAR DNT at k1 = 19.10 and k2 = 18.20.	18-Sep-26	11.5	6.9	-4.6	%	Harvest range carry amid contained event risk.
Buy an equal-weighted basket of 6M 25D vega-neutral risk-reversals in CHF vs. AUD and GBP.	4-Sep-26	1.1	1.1	0.0	vol pts.	Cheap convexity against crowded CHF funding shorts.
Sell delta-hedged 3M USD/BRL 10 delta put	4-Sep-26	15.3	16.4	-1.2	vol pts.	Harvest rich skew amid elevated election pricing.
Buy delta-hedged 6M USD/CHF 25D risk-reversal (Long USD put, Short USD call).	21-Aug-26	0.8	0.7	-0.1	vol pts.	Funding-currency outperformance and broader USD downside.
Buy 2M in 4M USD/ZAR FVA.	19-Jun-26	12.3	11.1	-1.1	vol pts.	Defensive vega on low priced forward vols.
Buy 3M 2% OTMS CHF/JPY put (1x notional) vs. Sell 3M 2% OTMS CHF/JPY call (2x notional) vs. Buy 3M 2% OTMS USD/JPY call (1.3x notional).	4-Sep-26	0	175	175	bps.	Take profit.

Trades marked to market at 4:00pm BST Friday.

For delta-hedged straddles and vol products, P/L is in vol points; for directional trades, bp of notional; negative entry price indicates a net credit at inception.

Source: J.P. Morgan

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Global Markets Strategy
FX Markets Weekly
25 September 2026

J.P.Morgan

Market movers

(all times GMT; +9hrs for Sydney, +8hrs for Tokyo, -5hrs for New York)

Date	Country	Time	Data/Event		Forecast		Previous	
					JPM	Consensus		
Sep 28 (Mon)	Japan	00:50	BOJ Minutes of July Meeting					
		00:50	Corporate service prices (%oya)	Aug	na	3.6	(Jul)	3.6
	Sweden	07:00	Trade balance (SEK bn)	Aug	na	na	(Jul)	1.2
		11:00	BOE's Ramsden Speaks on QT in London					
	India	11:30	IP (%oya)	Aug	na	7.0	(Jul)	6.7
	Brazil	12:30	Current account (\$ mn)	Aug	na	na	(Jul)	-8110
	Mexico	13:00	Trade balance (\$ mn)	Aug	na	na	(Jul)	-847.5
	US	15:30	Dallas Fed survey (index)	Sep	na	7.3	(Aug)	11.6
		18:30	Fed's Barkin in Fireside Chat					
	Euro area		Germany retail sales (%m/m, sa)	Aug	na	1.5	(Jul)	-3.4
Sep 29 (Tue)	Australia	05:30	RBA rate announcement	na	4.60	4.60	na	4.35
	Japan	06:00	Coincident index (CI)	Jul F	na	na	(Jul P)	120.6
		06:00	Leading index (CI)	Jul F	na	na	(Jul P)	117.9
	Sweden	07:00	Consumer confidence (index)	Sep	na	na	(Aug)	98.0
	Norway	07:30	Norway Government Debt Plans for 4Q					
	Switzerland	08:00	KOF leading indicator (index, sa)	Sep	na	105.5	(Aug)	106.7
	Euro area	09:00	ECB's Kazimir Speaks in Bratislava					
		11:00	ECB's Nagel Speaks in Frankfurt					
		12:30	ECB's Escriva Speaks in Madrid					
		14:15	ECB's Cipollone Speaks in Frankfurt					
	UK	09:30	M4 (%oya)	Aug	na	na	(Jul)	4.5
		09:30	Net consumer credit (GBP bn, sa)	Aug	na	na	(Jul)	2.0
		16:30	BOE's Taylor Speaks in London					
	Canada	13:30	GDP (%m/m, sa)	Jul	na	0	(Jun)	0.3
	US	14:00	FHFA house price index (%m/m)	Jul	na	na	(Jun)	0.0
		14:00	S&P/CS HPI (%oya)	Jul	na	na	(Jun)	2.1
		15:00	Consumer confidence (index, sa)	Sep	na	90	(Aug)	89.4
		18:00	Fed's Goolsbee Speaks in Moderated Discussion					
		19:00	Fed's Williams Gives Keynote Remarks					
Sep 30 (Wed)	South Korea	00:00	IP (%oya)	Aug	1.3	4.2	(Jul)	3.6
		00:50	IP (%m/m, sa)	Aug P	na	1.4	(Jul F)	-0.2
	Japan	00:50	Retail sales (%m/m, sa)	Aug	na	-0.9	(Jul)	2.1
		06:00	Housing starts (%oya)	Aug	na	6.3	(Jul)	8.2
	New Zealand	01:00	NBNZ business confidence (index)	Sep	na	na	(Aug)	53.7
		22:45	Building permits (%m/m, sa)	Aug	na	na	(Jul)	-4.3
	Australia	02:30	Building approvals (%m/m, sa)	Aug	na	-1	(Jul)	-3.6
		02:30	Private sector credit (%m/m, sa)	Aug	na	0.5	(Jul)	0.6
	China	02:30	PMI mfg. (index, sa)	Sep	na	50.1	(Aug)	49.8
		02:45	Caixin PMI mfg. (index, sa)	Sep	na	na	(Aug)	51.5
	UK	07:00	Current account (GBP bn, sa)	2Q	na	na	(1Q)	-22.1
		07:00	GDP (%q/q, sa)	2Q F	na	0.4	(2Q P)	0.4
		07:00	Total business investment (%q/q, sa)	2Q F	na	na	(2Q P)	1.7
	Sweden		Nationwide HPI (%m/m, sa)	Sep	na	na	(Aug)	0.2
		07:00	Retail sales (%m/m, sa)	Aug	na	na	(Jul)	-0.2
		08:30	Riksbank's Jansson Speaks in London					

Date	Country	Time	Data/Event		Forecast		Previous
					JPM	Consensus	
Oct 1 (Thu)	Hungary	07:30	Trade balance (EUR mn)	Aug	na	na	(Jul) 448.9
	Turkey	08:00	Trade balance (\$bn)	Aug	na	na	(Jul) -7.3
	Poland	08:30	CPI (%oya)	Sep P	na	4.1	(Aug F) 3.4
	Euro area	08:55	Germany unemployment change (000s)	Sep	na	-3.0	(Aug) 4.0
		08:55	Germany unemployment rate (% sa)	Sep	na	6.4	(Aug) 6.4
		13:00	Germany HICP (%oya)	Sep P	na	0.3	(Aug F) 0.2
		16:45	ECB's Schnabel Speaks in Luxembourg				
	South Africa	13:00	Trade balance (ZAR bn)	Aug	na	na	(Jul) 20.1
	US	13:15	ADP employment (ch m/m, 000s)	Sep	na	70.0	(Aug) 38.0
		13:30	GDP (%q/q, saar)	2Q F	na	1.5	(2Q P) 1.5
		13:30	GDP price index (%q/q, saar)	2Q F	na	6.4	(2Q P) 6.4
		13:30	PCE core (%m/m, sa)	Aug	na	0.3	(Jul) 0.3
		13:30	PCE core (%q/q, saar)	2Q F	na	3.6	(2Q P) 3.6
		13:30	PCE deflator (%oya)	Aug	na	3.7	(Jul) 3.7
		13:30	Personal consumption (%q/q, saar)	2Q F	na	3.4	(2Q P) 3.4
		13:30	Personal income (%m/m, sa)	Aug	na	0.5	(Jul) 0.4
		13:30	Personal spending (%m/m, sa)	Aug	na	0.9	(Jul) 0.2
		13:30	Wholesale inventories (%m/m)	Aug P	na	na	(Jul F) 1.3
		18:30	Fed's Barkin Gives Welcome Remarks at Rural America Conference				
		20:25	Fed's Cook Speaks at Investing in Rural America Conference				
		22:10	Fed's Goolsbee Gives Keynote Address				
		23:00	Fed's Kashkari Speaks in Fireside Chat				
	Russia	14:00	Current account (USD mn)	2Q F	na	na	(2Q P) 19500
		17:00	Weekly CPI (%ytd)	na	na	na	na 4.8
	Colombia	19:00	Banrep rate announcement	na	12.00	12.00	na 12.00
	Japan	00:50	BOJ Summary of Opinions (Sept. MPM)				
		00:50	BoJ Tankan mfg. (index)	3Q	na	25.0	(2Q) 22.0
		00:50	BoJ Tankan non-mfg. (index)	3Q	na	36.0	(2Q) 37.0
		00:50	Foreign buying of Japan bonds (JPY, bn)	na	na	na	na 2236
		00:50	Foreign buying of Japan stocks (JPY, bn)	na	na	na	na -1523
		01:30	PMI mfg. (index, sa)	Sep F	na	na	(Sep P) 54.1
	South Korea	01:00	Trade balance (USD mn)	Sep	43900	39960	(Aug) 34785
		01:30	PMI mfg (HSBC index)	Sep	na	na	(Aug) 52.3
	Australia	02:30	Trade balance (AUD mn)	Aug	na	2000	(Jul) 1923
		02:30	RBA-Financial Stability Review				
	Indonesia	05:00	CPI (%y/y)	Sep	na	na	(Aug) 3.2
		05:00	Trade balance (USD mn)	Aug	na	na	(Jul) 121.9
	Sweden	07:30	PMI mfg. (index, sa)	Sep	na	na	(Aug) 56.1
	Switzerland	07:30	CPI (%oya)	Sep	na	1	(Aug) 0.8
		07:30	Retail sales (%oya)	Aug	na	na	(Jul) 2.3
		08:30	PMI mfg. (index, sa)	Sep	na	55.5	(Aug) 57.1
		16:30	SNB's Schlegel Gives Introductory Remarks				
	Hungary	08:00	PMI mfg. (index)	Sep	na	na	(Aug) 51.3
	Euro area	08:45	Italy PMI mfg (index, sa)	Sep	na	na	(Aug) 49.6
		08:50	France PMI mfg (index, sa)	Sep F	na	na	(Sep P) 50.3
		08:55	Germany PMI mfg. (index, sa)	Sep F	na	na	(Sep P) 53.8
		09:00	PMI mfg. index (sa)	Sep F	na	52.7	(Sep P) 52.7
		09:20	ECB's Cipollone Speaks in Brussels				

Date	Country	Time	Data/Event	Forecast		Previous
				JPM	Consensus	
Oct 2 (Fri)	UK	09:45	Central Bank of Ireland Governor Gabriel Makhoul Keynote Addr			
		10:00	Unemployment rate (% , sa)	Aug	na	6.4 (Jul)
		11:35	Bundesbank Chief Nagel Speaks in London			
		14:30	ECB's Lagarde Speaks in Frankfurt			
		15:00	ECB's Sleijpen Speaks			
		09:00	BOE Governor Delivers Opening Remarks at London			
		09:30	PMI mfg. (index, sa)	Sep F	na	52.0 (Sep P)
		13:00	BOE's Mann Speaks in London			
		10:00	PMI mfg (Kagiso)	Sep	na	na (Aug)
		10:30	Challenger layoffs (%oya)	Sep	na	na (Aug)
	South Africa	14:05	Fed's Barkin, Collins, Schmid on Panel About Rural America			
		15:00	Construction spending (%m/m, sa)	Aug	na	0.1 (Jul)
	US	15:00	ISM mfg. index (sa)	Sep	na	55 (Aug)
		20:30	Fed's Cook and NY Fed's Williams at Panel			
	Brazil	23:45	Fed's Logan Speaks At Eleventh District Appreciation Event			
		14:00	PMI mfg. (index, sa)	Sep	na	na (Aug)
	Mexico	19:00	PMI mfg. (IMEF)	Sep	na	na (Aug)
		19:00	PMI services (IMEF)	Sep	na	na (Aug)
	South Korea	00:00	CPI (%oya)	Sep	2.9	3.0 (Aug)
		00:30	Jobs to applicants ratio (sa)	Aug	na	1.2 (Jul)
	Japan	00:30	Tokyo CPI (%oya)	Sep	na	2.3 (Aug)
		00:30	Unemployment rate (% , sa)	Aug	na	2.4 (Jul)
	Euro area	00:50	Monetary base (%oya)	Sep	na	na (Aug)
		09:00	Italy retail sales (%m/m, sa)	Aug	na	na (Jul)
		10:00	CPI (%oya)	Sep P	na	3.5 (Aug F)
		10:00	HICP (%oya)	Sep P	na	3.5 (Aug F)
		12:30	ECB's Vujcic Speaks in Frankfurt			
	Brazil	20:35	ECB's Nagel Speaks in Rostock, Germany			
		13:00	IP(%oya)	Aug	na	na (Jul)
	US	13:30	Average hourly earnings (%m/m, sa)	Sep	na	0.3 (Aug)
		13:30	Nonfarm payrolls (ch m/m 000s, sa)	Sep	na	100.0 (Aug)
		13:30	Private payrolls (ch m/m 000s, sa)	Sep	na	90.0 (Aug)
		13:30	Unemployment rate (% , sa)	Sep	na	4.1 (Aug)
		15:00	Factory orders (%m/m, sa)	Aug	na	-0.1 (Jul)
	Denmark	16:00	Official Currency Net Reserves	Sep	na	na (Aug)

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Event Risk Calendar

	Date	Country	Event
Sep '26	29	Australia	RBA rate announcement
Oct '26	1	Colombia	Banrep rate announcement
	4	Brazil	General elections
	5	Canada	Quebec general election
	7	Poland	NBP rate announcement
	12-18	World	World bank annual meeting
	20	Hungary	MNB rate announcement
	21	Israel	BoI rate announcement
	22	Korea	BoK rate announcement
	25	Brazil	Run-off election
	26-29	China	Politburo meeting
	27	Chile	BCCCh rate announcement
	27	Israel	Parliamentary Elections by this date
	28	UK	Autumn budget
	28	Canada	BoC rate announcement
	28	United States	FOMC rate announcement
	28	New Zealand	RBNZ rate announcement
	28	Thailand	BoT rate announcement
	29	Euro area	ECB rate announcement
	30	Japan	BoJ rate announcement
Nov '26		South Africa	Municipal Elections
	1	China	Expiration of US-China trade truce agreement
	3	United States	Midterm Elections
	3	Australia	RBA rate announcement
	4	Poland	NBP rate announcement
	4	Brazil	COPOM rate announcement
	5	United Kingdom	BoE rate announcement
	5	Mexico	Banxico rate announcement
	5	Norway	Norges Bank rate announcement
	6	Malaysia	BNM rate announcement
	17	Hungary	MNB rate announcement
	23	Israel	BoI rate announcement
	26	Korea	BoK rate announcement
	28	Taiwan	Taiwan local elections
	28	Australia	Victorian state election
Dec '26		New Zealand	Last date for NZ national election
	2	Poland	NBP rate announcement
	8	Australia	RBA rate announcement
	9	Canada	BoC rate announcement
	9	Brazil	COPOM rate announcement
	9	United States	FOMC rate announcement
	9	New Zealand	RBNZ rate announcement
	10	Switzerland	SNB rate announcement
	14, 15	World	G20 Summit
	15	Chile	BCCCh rate announcement
	15	Hungary	MNB rate announcement
	17	United Kingdom	BoE rate announcement

17	Euro area	ECB rate announcement
17	Mexico	Banxico rate announcement
17	Norway	Norges Bank rate announcement
18	Japan	BoJ rate announcement
23	Thailand	BoT rate announcement
31	Japan	Budget for FY2027

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Central bank announcement dates in 2026

	JAN	FEB	MAR	APR	MAY	JUN	JUL	AUG	SEP	OCT	NOV	DEC
Australia		3	17		5	16		11	29		3	8
Brazil	28		18	29		17		5	16		4	9
Canada	28		18	29		10	15		2	28		9
Chile	27		24	28		16	28		8	27		15
Colombia	30		31	30		30	31		30	30		18
Czech Republic		5	19		7	18		6	17		5	17
Euro area		5	19	30		11	23		10	29		17
Hungary	27	24	24	28	26	23	21	25	22	20	17	15
India		6										
Indonesia	21	19	17	22	20	18	22	19	23	21	18	16
Israel	5	23	30		25		6	31		21	23	
Japan	23		19	28		16	31		18	30		18
Korea	15	26		10	28		16	27		22	26	
Malaysia	22		6		8		9		4		6	
Mexico		5	26		7	25		6	24		5	17
New Zealand		18		8	27		8		2	28		9
Norway	22		26		7	18		13	24		5	17
Philippines		19		23		18		27		22		17
Poland	14	4	4	9	6	10	8		2	7	4	2
South Africa	29		26		28		23		23		19	
Sweden	29		19		7	17		20	24		4	16
Switzerland			19			18			24			10
Thailand		25		29		24		26		28		23
Turkey	22		12	22		11	23		10	22		10
United Kingdom		5	19	30		18	30		17		5	17
United States	28		18	29		17	29		16	28		9

J.P. Morgan FX forecasts vs. forwards & consensus

Exchange rates vs. U.S. dollar

Majors	Current					JPM forecast gain/loss vs September 27*			Actual change in local FX vs USD			
	25-Sep	Dec 26	Mar 27	Jun 27	Sep 27	Spot	Forwards	Consensus**	Past 1mo	Past 3mo	YTD	Past 12mos
EUR	1.14	1.13	1.12	1.10	1.10	-3.5%	-5.0%	-7.6%	-2.2%	0.1%	-3.0%	-2.3%
JPY	157	164	164	164	164	-4.0%	-6.9%	-7.9%	1.2%	2.7%	-0.5%	-4.9%
GBP	1.32	1.28	1.29	1.28	1.28	-3.4%	-3.6%	-6.0%	-2.6%	0.3%	-1.7%	-0.8%
AUD	0.70	0.71	0.69	0.69	0.69	-1.7%	-1.4%	-5.5%	-2.1%	1.8%	5.2%	7.3%
CAD	1.41	1.41	1.40	1.39	1.39	1.8%	0.0%	-2.2%	-1.9%	0.4%	-3.0%	-1.4%
NZD	0.57	0.60	0.59	0.59	0.59	4.3%	3.3%	-4.8%	-4.8%	0.3%	-1.8%	-1.9%
JPM USD index	108.2	108.0	108.3	108.9	108.9	0.7%	1.6%	3.3%	1.5%	-0.5%	0.7%	-0.3%
DXY	101.0	102.5	103.0	104.3	104.3	3.3%	-4.8%	7.2%	1.8%	-0.4%	2.7%	2.5%

Europe, Middle East & Africa

CHF	0.83	0.84	0.85	0.86	0.86	-4.0%	-8.2%	-8.5%	-2.9%	-2.4%	-4.4%	-3.6%
ILS	3.05	2.85	2.80	2.75	2.75	11.0%	8.7%	6.5%	-2.5%	-1.7%	4.4%	9.9%
SEK	9.92	10.00	10.18	10.36	10.45	-5.1%	-7.1%	-14.0%	-3.9%	-1.8%	-7.1%	-4.6%
NOK	9.50	9.38	9.38	9.45	9.45	0.5%	0.7%	-3.7%	-1.6%	4.5%	6.1%	5.6%
CZK	21.38	20.97	20.98	21.27	21.18	0.9%	0.3%	-4.8%	-3.2%	-0.4%	-3.7%	-2.4%
PLN	3.84	3.72	3.75	3.86	3.86	-0.6%	-0.6%	-5.6%	-3.7%	-2.0%	-6.6%	-4.6%
HUF	321	305	304	305	305	5.4%	6.2%	-3.6%	-3.2%	-3.2%	1.9%	4.6%
TRY	48.97	51.20	53.00	54.90	56.87	-13.9%	15.8%	0.0%	-1.7%	-4.8%	-12.3%	-15.3%
ZAR	16.35	16.00	15.90	15.75	15.65	4.5%	7.1%	1.3%	-2.4%	0.7%	1.3%	6.6%

ARS	1523	1575	1600	1650	1700	-10.4%	12.0%	6.6%	-0.5%	-3.0%	-4.7%	-12.2%
BRL	5.21	5.20	5.15	5.15	5.10	2.1%	9.5%	-0.4%	-1.1%	-0.7%	5.1%	3.0%
CLP	967	910	905	900	900	7.4%	6.8%	-0.2%	-4.6%	-4.4%	-6.8%	-0.5%
COP	3310	3150	3200	3250	3300	0.3%	8.2%	0.0%	-5.4%	4.3%	14.1%	18.0%
MXN	17.76	17.20	17.25	17.30	17.30	2.6%	5.5%	1.7%	-4.5%	-1.4%	1.4%	4.1%
PEN	3.42	3.40	3.35	3.35	3.30	3.7%	4.9%	0.6%	-2.3%	-0.3%	-1.8%	2.4%

CNY	6.71	6.70	6.75	6.80	6.80	-1.3%	-4.5%	-2.6%	0.1%	1.3%	4.1%	6.3%
HKD	7.84	7.84	7.84	7.85	7.85	-0.1%	-1.0%	-0.5%	-0.1%	0.0%	-0.8%	-0.8%
IDR	17893	17700	17800	18100	18100	-1.1%	0.9%	-2.8%	-1.0%	0.1%	-6.7%	-6.4%
INR	95.82	96.00	96.50	97.00	97.50	-1.7%	1.7%	-3.0%	-0.4%	-1.5%	-6.2%	-7.5%
KRW	1358	1360	1320	1310	1310	3.7%	2.8%	1.1%	2.0%	13.1%	6.0%	3.8%
MYR	4.07	4.05	4.10	4.10	4.10	-0.6%	-1.5%	-3.4%	-1.2%	0.4%	-0.3%	3.4%
PHP	62.48	62.80	63.50	64.50	65.00	-3.9%	-2.4%	-5.2%	-1.4%	-1.9%	-5.9%	-7.0%
SGD	1.28	1.27	1.27	1.28	1.27	0.6%	-2.1%	-1.6%	-0.5%	1.3%	0.6%	1.2%
TWD	31.80	31.20	30.90	30.90	30.90	2.9%	2.6%	0.3%	0.1%	0.3%	-1.2%	-4.3%
THB	33.36	33.50	32.80	33.50	33.50	-0.4%	-2.1%	-2.8%	-1.8%	0.0%	-5.6%	-3.7%
EMCI	45.8	45.1	45.0	44.8	44.8	-2.1%	2.6%	-3.5%	-2.9%	-2.2%	-1.5%	-0.5%

Exchange rates vs Euro

JPY	179	185	184	180	180	-0.5%	-2.1%	-0.4%	3.4%	2.6%	2.5%	-2.6%
GBP	0.86	0.88	0.87	0.86	0.86	0.1%	1.5%	1.7%	-0.4%	0.2%	1.3%	1.6%
CHF	0.95	0.95	0.95	0.95	0.95	-0.5%	-3.4%	-1.1%	-0.7%	-2.5%	-1.5%	-1.3%
SEK	11.31	11.30	11.40	11.40	11.50	-1.7%	-2.3%	-7.0%	-1.8%	-2.0%	-4.3%	-2.4%
NOK	10.83	10.60	10.50	10.40	10.40	4.2%	5.9%	4.2%	0.6%	4.4%	9.3%	8.1%
CZK	24.37	23.70	23.50	23.40	23.30	4.6%	5.6%	3.0%	-1.0%	-0.4%	-0.8%	-0.1%
PLN	4.38	4.20	4.20	4.25	4.25	3.0%	4.6%	2.1%	-1.5%	-2.0%	-3.7%	-2.4%
HUF	366	345	340	335	335	9.3%	11.7%	4.3%	-1.0%	-3.3%	5.0%	7.0%
RON	5.27	5.27	5.30	5.30	5.33	-1.0%	2.5%	-0.2%	-0.3%	-0.7%	-3.5%	-3.7%
TRY	55.85	57.86	59.36	60.39	62.56	-10.7%	21.8%	8.2%	0.4%	-4.9%	-9.5%	-13.2%
BRL	5.94	5.88	5.77	5.67	5.61	5.8%	15.2%	7.8%	1.1%	-0.8%	8.8%	5.4%
MXN	20.24	19.44	19.32	19.03	19.03	6.3%	11.0%	10.0%	-2.4%	-1.5%	4.5%	6.5%

↑ indicates a revision resulting in a stronger currency forecast, ↓ indicates a revision resulting in a weaker currency forecast. Source: J.P.Morgan

* Positive indicates JPM more bullish on local currency than spot, consensus or forward rates. ** Bloomberg FX Consensus Forecasts compares 3Q'27

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